



CO-OPERATIVE BANK OF KENYA LTD

GROUP FINANCIAL RESULTS ANALYST BRIEFING

FY2017

15th March 2018

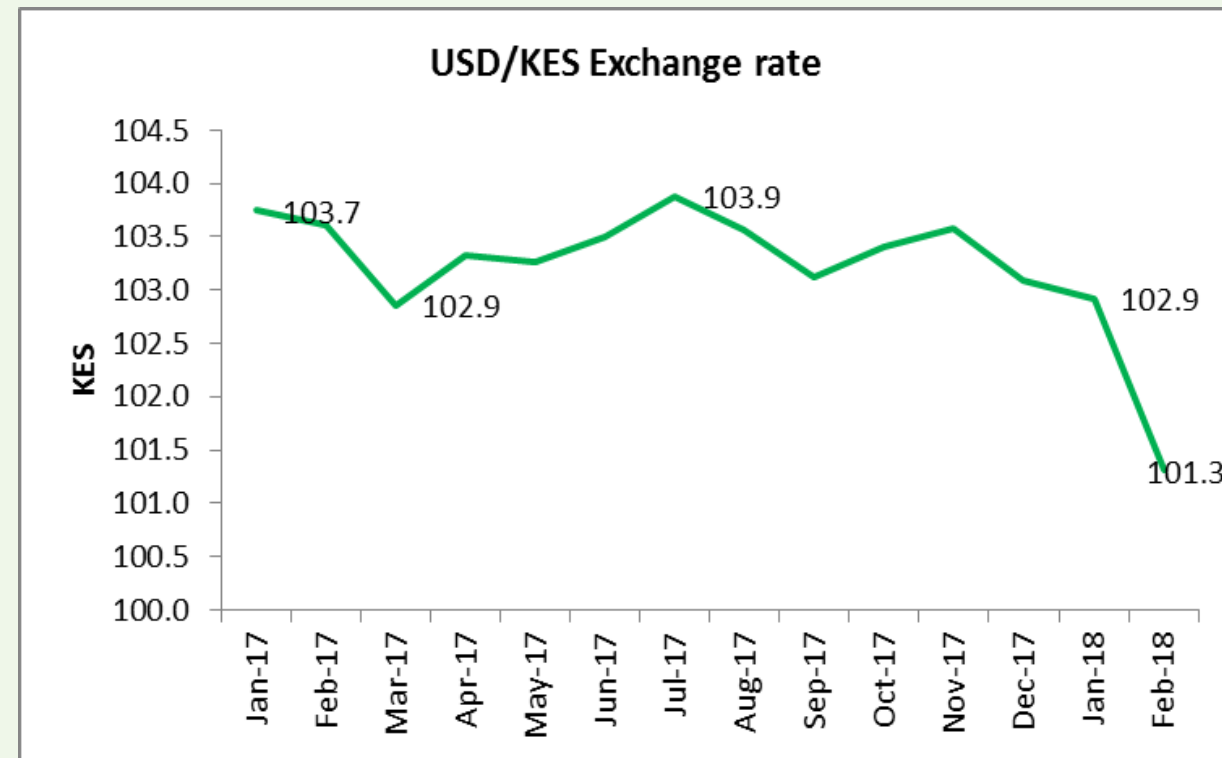
A world map with a light green color scheme, showing the outlines of continents and countries. The map is centered on the Atlantic Ocean, with North and South America on the left and Europe, Africa, and Australia on the right.

Macro Economic Update

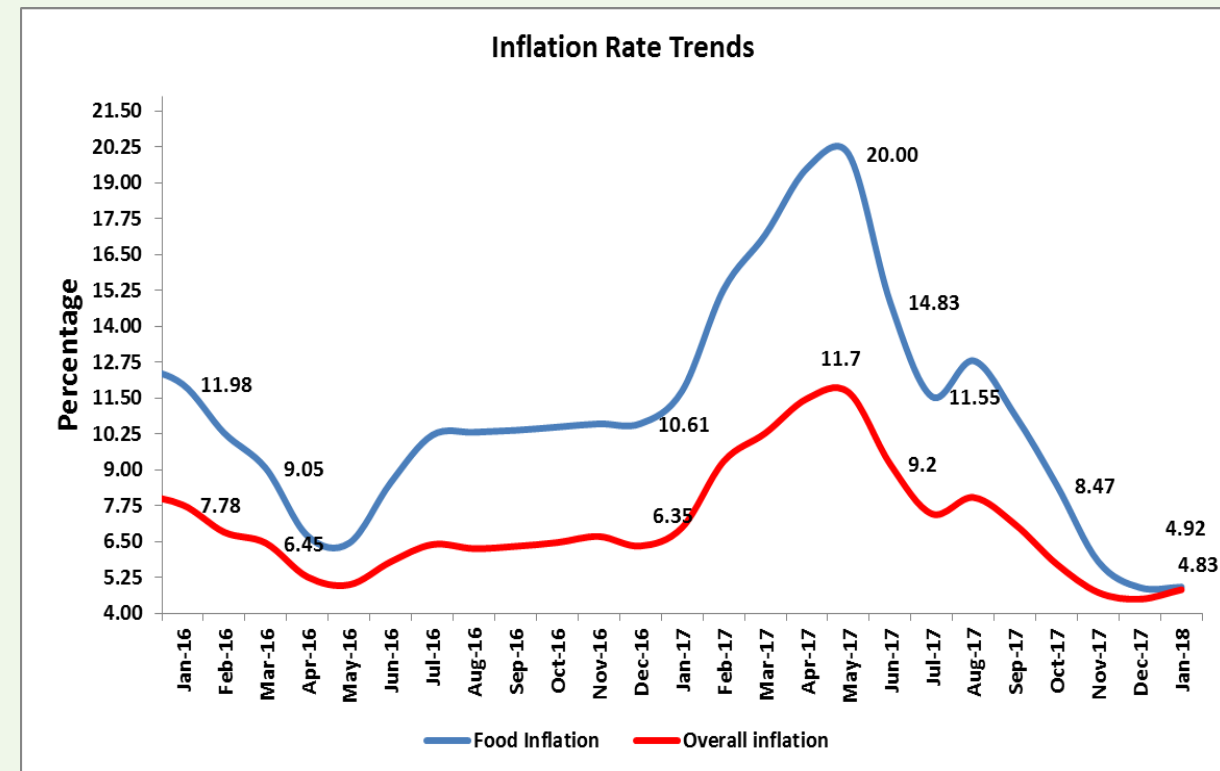
- In 2017, Kenya's economic growth on a quarterly basis was generally lower than in 2016.
- In 2017, the country faced a few shocks namely; a drought in early 2017 and a slow down in economic activity in the second half of the year due to the pro-longed general elections
- This drop in the level of economic activity adversely affected some of our banking business.



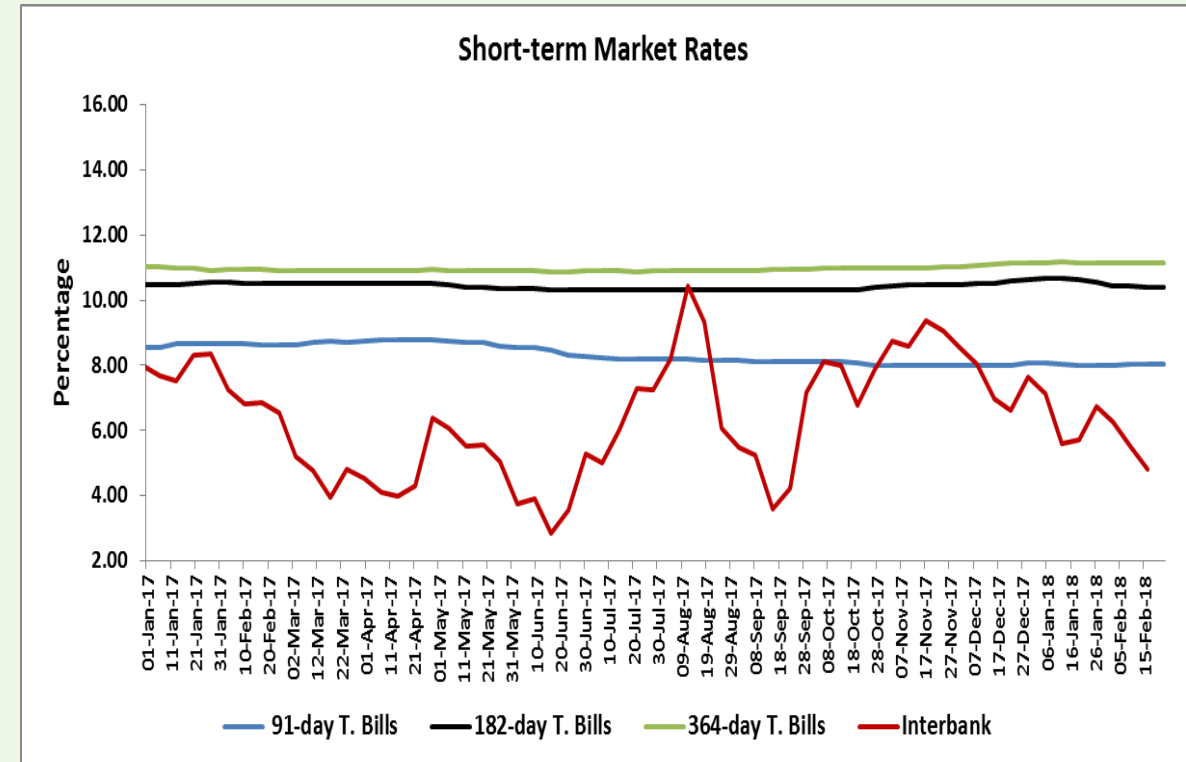
- In 2017, the KES exchange rate against the USD remained relatively stable, trading at a monthly average of 102.9 to 103.9.
- It hit a monthly average high of 103.9 in July following precautionary purchase in the run up to the general elections as well as demand from sugar and maize importers.
- 2018 is expected to have sufficient food supply.
- Fuel may be the only item giving pressure to the Kenya Shilling in 2018.



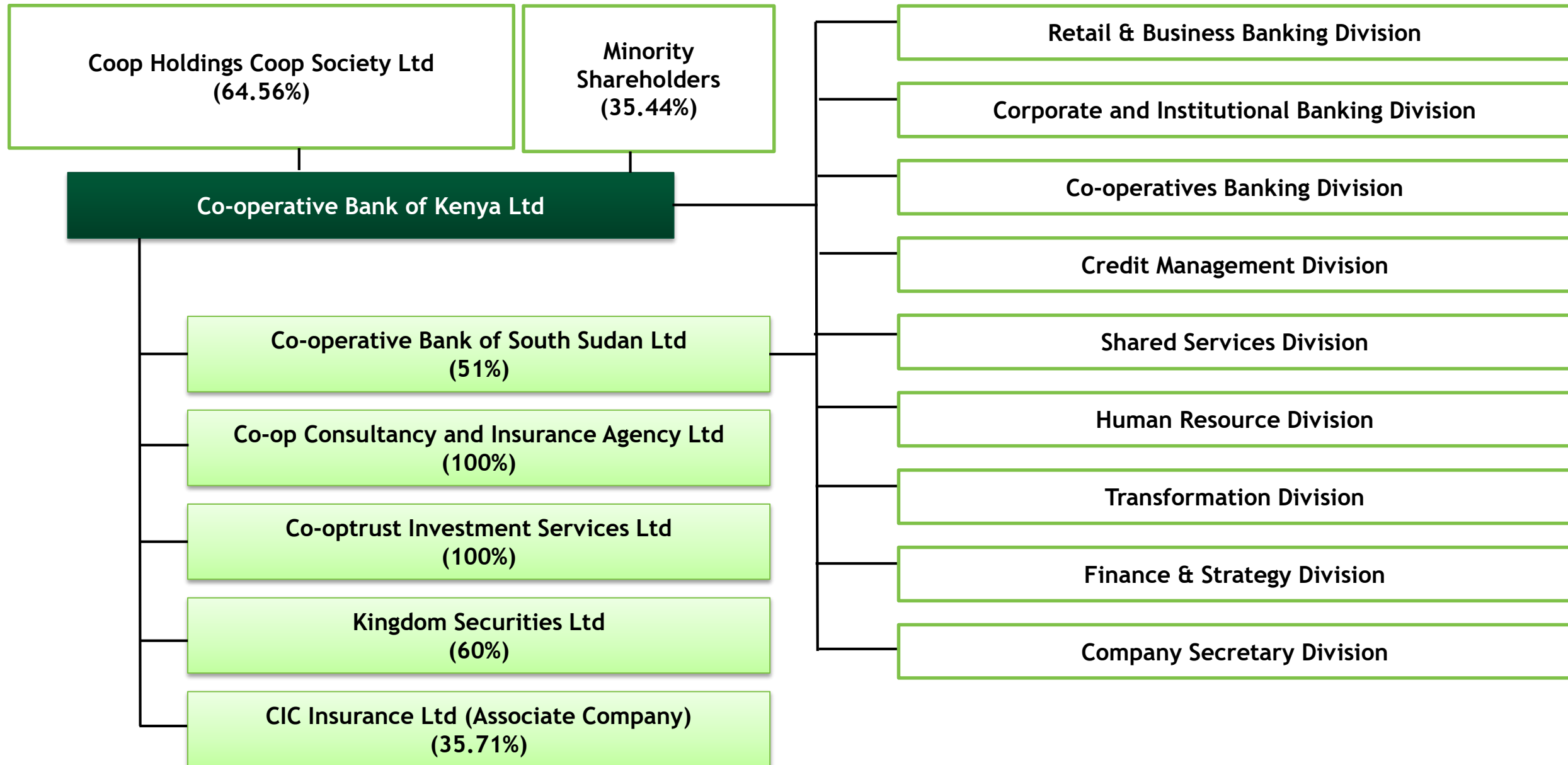
- Overall inflation rate was high in mid 2017 reaching a high of 11.7% in the month of May.
- The spike in overall inflation was driven by high food prices resulting in a 20% food inflation rate in May 2017 due to drought experienced in early 2017.
- However, by December 2017, food inflation had fallen to 4.9%, hence pulling down overall inflation rate to 4.5%.
- In 2018, the outlook on inflation is positive
 - ❖ The forecast for the long rains (March to May) indicate that the country's food basket regions (Western, Central, Rift Valley) will experience near-normal rainfall in both space and time.
 - ❖ Of the Seven Forks dams, only Masinga (40MW) may struggle with low water levels and thus negligible impact on overall Hydro-electricity generation.



- The money market has remained fairly stable.
- Yields on short-term government securities have remained relatively unchanged during most of 2017.
- Interest rate on 91-days, 182-days and 364-days Treasury bills was 8.6%, 10.5% and 11%, respectively in January 2017 compared to 8.1%, 10.7% and 11.2%, respectively at the close of 2017.
- The average interbank rate remained volatile throughout 2017 as a result of the skewed distribution of liquidity within the banking sector.
- Full year operating under interest rates caps that were implemented in September 2016.



Co-operative Bank of Kenya Group Structure





A Successful Universal Banking Model

Retail and Business Banking

- ✓ Micro Credit
- ✓ Small Medium Enterprises (SME)
- ✓ Personal Banking (mass & affluent)
- ✓ Diaspora Banking
- ✓ Banking the youth (Yea & Jumbo Junior)
- ✓ Asset Finance

Corporate, Government & Institutional Banking

- ✓ Corporate banking
- ✓ Government Banking
- ✓ Institutional Banking
- ✓ Structured, Trade & Commodity Finance
- ✓ NGO's
- ✓ Treasury

Co-operatives Banking

- ✓ Large Saccos
- ✓ Housing Saccos
- ✓ Agri Business
- ✓ PSV/ Transport Saccos
- ✓ Investment Saccos

Associates

We own 26% of CIC Insurance
CIC Owns 31% of CIC Africa
CIC has a Presence in Uganda, Malawi & South Sudan

Fund management

- ✓ Over 33Billion in Funds under management

Consultancy and capacity building for the Co-operative movement

- ✓ Over 2300 consultancies

Insurance Brokerage

- ✓ Over 2.3Billion in Insurance Premiums

Stock brokerage

- ✓ Share trading services
- ✓ Online Share Trading

Foundation

Co-op Foundation; Supporting Bright, Needy students in all counties

Our channels

152 Branches

Mcoop cash mobile banking
(All telco, all products)

Co-op Kwa Jirani-Over 10000 agents

Over 580 ATMs, leading debit card issuer

CoopNet- Internet Banking (Corporate & Retail)

24 Hour Contact Centre

Self service Kiosks in all our branches

Dedicated Diaspora Banking Department

560 FOSAs

Subsidiaries offering advisory and investment services

Social Media Banking

Our customers

Over 7.1 Million growing direct account holders

Over 3.6 Million Mcoop Cash Customers

Over 79,218 Internet banking Customers

Over 1,064,145 Saccolink Customers

Over 13201 Diaspora Banking Customers

Over 1.1 million Facebook followers

Over 185,000 Twitter followers

Instagram followers, You Tube subscribers

Telegram self service customers

“Soaring Eagle” Transformation Project Update



Customer Experience and Branch Transformation(BT 2.0.)

- ✓ Improved queue time from 52 Minutes in 2014 to under 12 Minutes
- ✓ 87% of transactions are being done on alternative channels
- ✓ The role of Teller and Service Champion has been merged into one : Sales and Service Advisors- To make our branches Centers of Excellence in Sales, Service and Advisory
- ✓ Merging Branch Transformation(2.0) and MSME transformation

Salesforce Effectiveness (3.0.) CIBD and Co-operatives Banking

- ✓ Focus on deposit mobilization, Non-Funded income growth, Rapid campaigns and account planning
- ✓ Deposit Book Growth of 9% Year on year (YoY)
- ✓ Loan Book Growth of 7% YoY
- ✓ Non-Funded Income growth of 6% YoY driven mainly by;
 - ✓ Fees and commissions on loans and advances +12%
 - ✓ Foreign exchange trading income +24%
- ✓ Customer Base has increased by 13% to over 7.1 Million

MSME Transformation

An ambitious growth and transformation project supported by International Finance Corporation. We seek to be the foremost SME Bank in Kenya.

- ✓ Clearly defined MSME segments
- ✓ The key pillars are: Credit Scoring, SCF- Supply Chain Financing, CVP- Customer Value Proposition Model, Segmentation, Credit Process Review, Product Offering Review and Non Financial Service (NFS) offering
- ✓ 14 initiatives under pilot in 7 branches
- ✓ Branch champions undergoing experiential training to facilitate roll-out
- ✓ Supply chain finance- under pilot, has gained great traction in the market (over 90 suppliers on board)

Shared Services & Digitization ‘The Digital Bank’

- ✓ Digital transformation of processes and customer journeys is ongoing;
 - ✓ Omni Channel Implementation for prioritized segments; Corporate, MSME, Diaspora and Millennial Banking
 - ✓ A dedicated project team to support all Bank prioritized Customer Journeys has been set up.
 - ✓ A sandbox team- Formed to run specific customer journeys and end to end Digitization
- ✓ Aimed at operational efficiency
- ✓ Digital Bank transformation strategy has been firmed up.

NPL management and Credit Processes (NPL 2.0)

- ✓ Proactively reducing default risk
- ✓ Continuously improving credit processes
- ✓ Implementation of IFRS 9 requirements is on track
- ✓ Growing credit offering through digital channels

Data Analytics and Reporting

- ✓ Remains a key enabler for the ‘Digital Bank’
- ✓ Critical in Sales, Credit and Performance Management
- ✓ Data and analytic initiatives involve; Development of reports, Data governance and Data architecture (New infrastructure to support analytics)

Cost Management and Efficiency

- ✓ Cost to income Ratio- 52% from 59%(FY2014)
- ✓ Automation of the various key processes for costs optimization.
- ✓ Enhanced Evaluation Committee (EC) and Expenditure Management Committee (EMC)
- ✓ Implementation of the SAP Enterprise Resource Planning (ERP) solution

Customer Experience and Branch Transformation(BT 2.0.)

“To make our Channels Centers of Excellence in Sales, Service and Advisory”

BT Phase 1

- Completed



BT Phase 2

- Under Implementation.
- Merged with MSME Transformation



BT Phase 3

- Beyond 2018
- Capturing further growth in Sales

Themes

- ✓ Deposits growth
- ✓ Loan book growth
- ✓ Reduce PAR
- ✓ Grow product holding to 4 Per customer.

1. Sales Force Effectiveness initiatives
2. Free up time of staff to engage in frontline activities
3. Structure available time for optimization
4. Processes improvement for increased efficiency
5. Coaching for staff to increase productivity

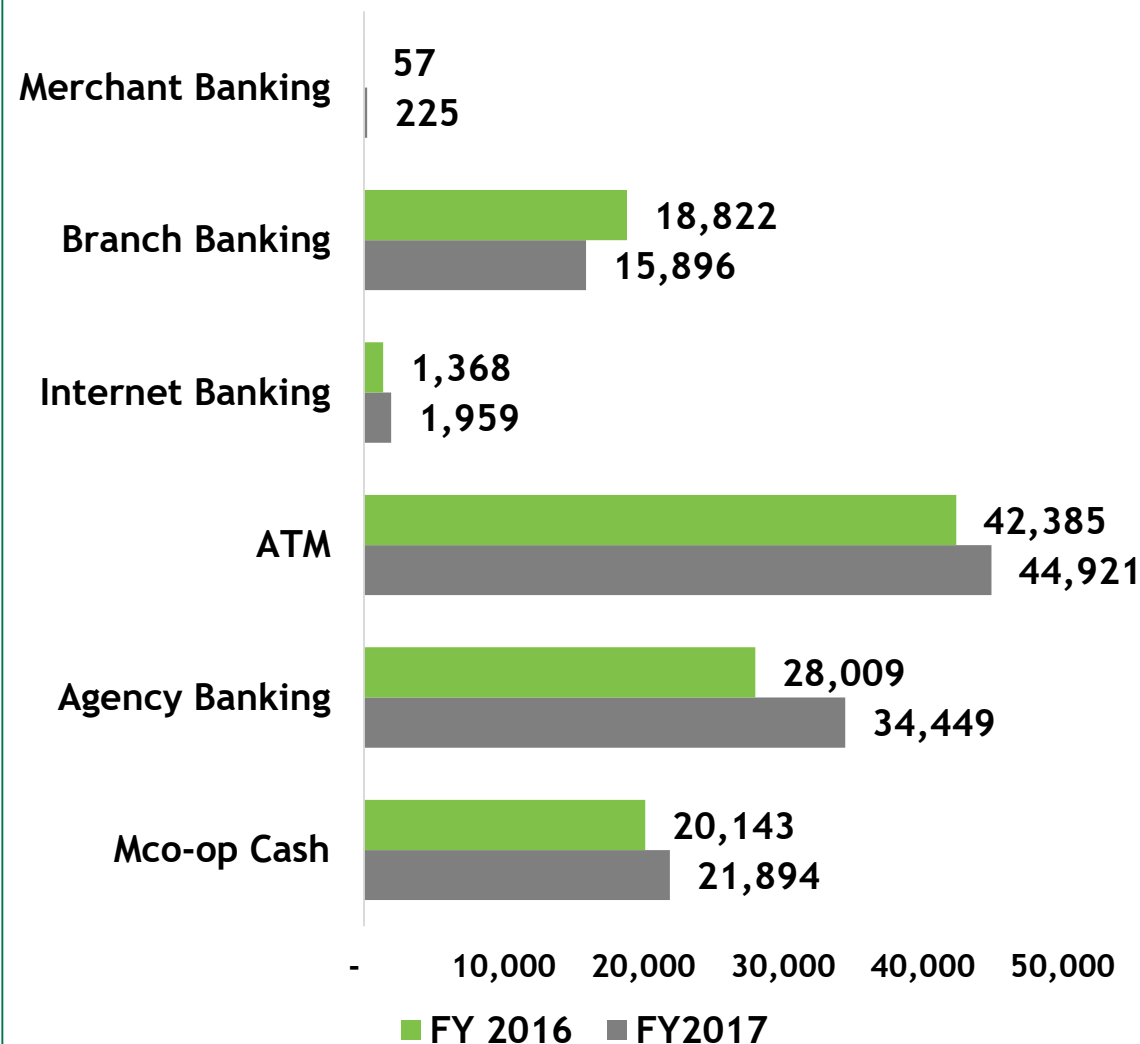
Key Achievements

- ✓ 87% of transactions are on alternative channels.
- ✓ Freed up time for Tellers and Service champions to do more sales.
- ✓ The role of Teller and Service Champion has been merged into one : Sales and Service Advisors. Key roles are Branch service and operations support , Business growth and development.
- ✓ Queue time reduced to under 12 minutes.
- ✓ Contact center transformation: support over 600k customers remotely through calls, emails, SMS and social media platforms.
- ✓ Increased usage of automated systems: Instant card, E-collect, ERP, B2B and mobile loans.
- ✓ Mcoop cash registered customers grew by 14%.
- ✓ Internet Banking customer grew by 13%
- ✓ 11% increase in the number of customers who access agency services from 8.1M to 9M
- ✓ The average number of customers who visit our agents everyday are 95,000

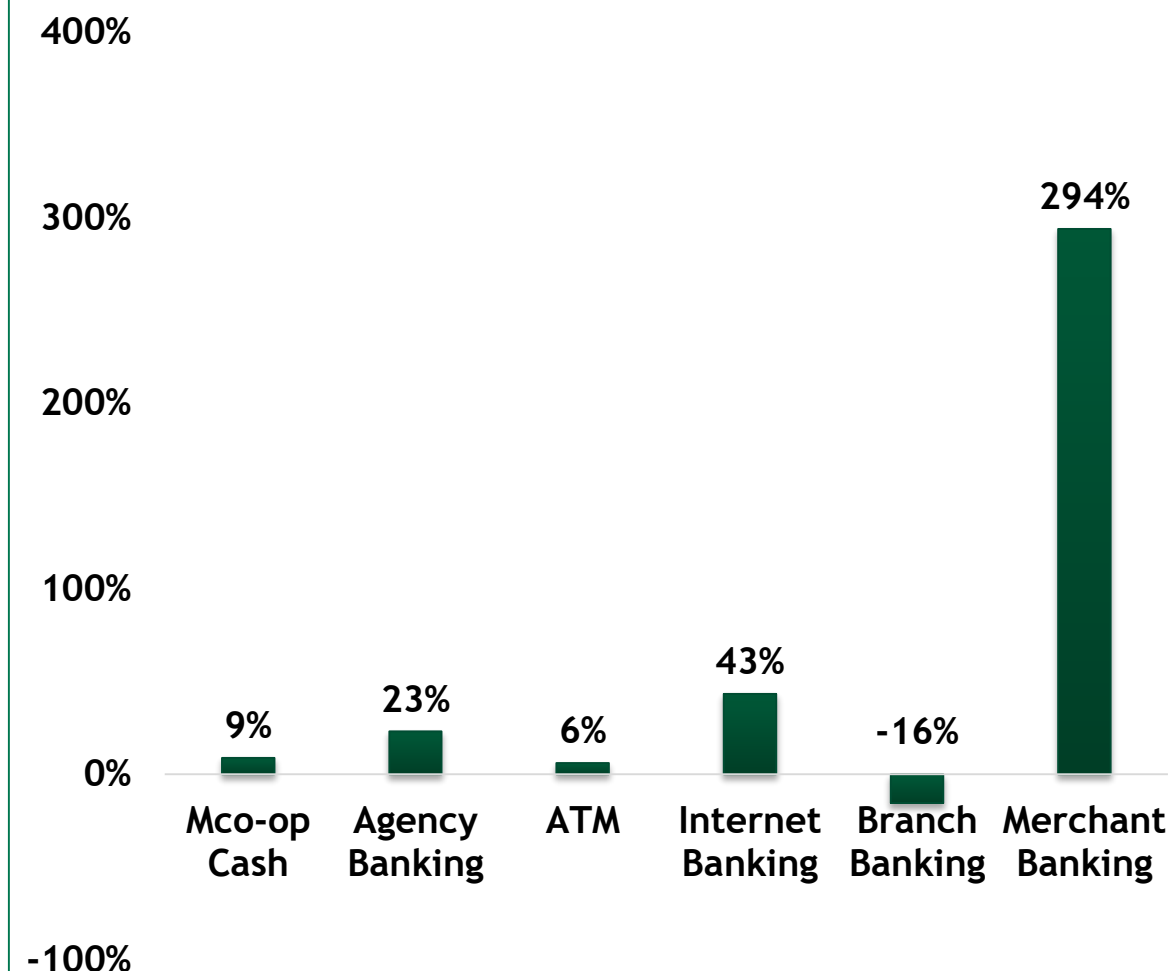
Customer Experience and Branch Transformation

Deepening Financial Inclusion with alternative channels

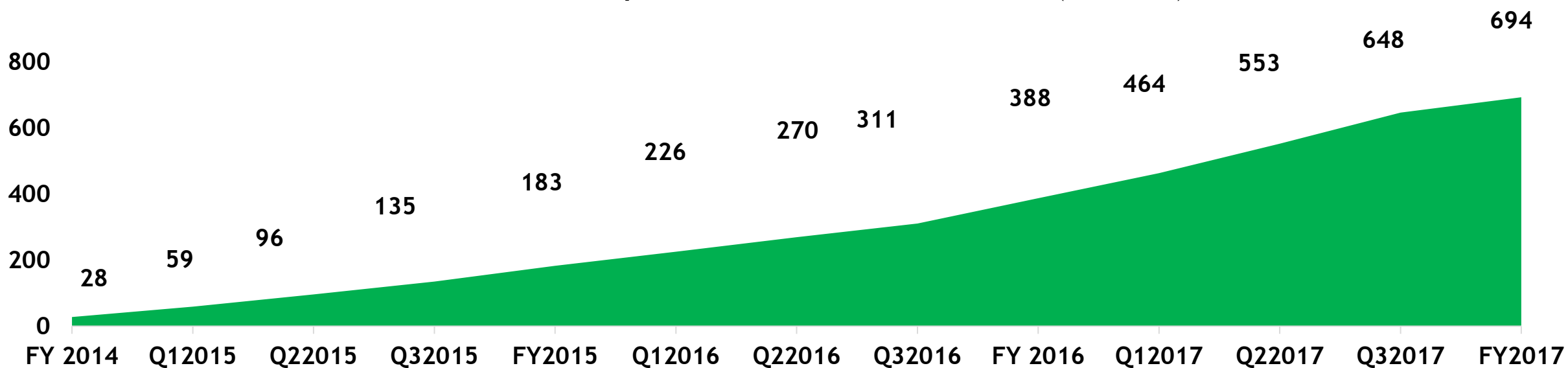
Channel Transactions '000'



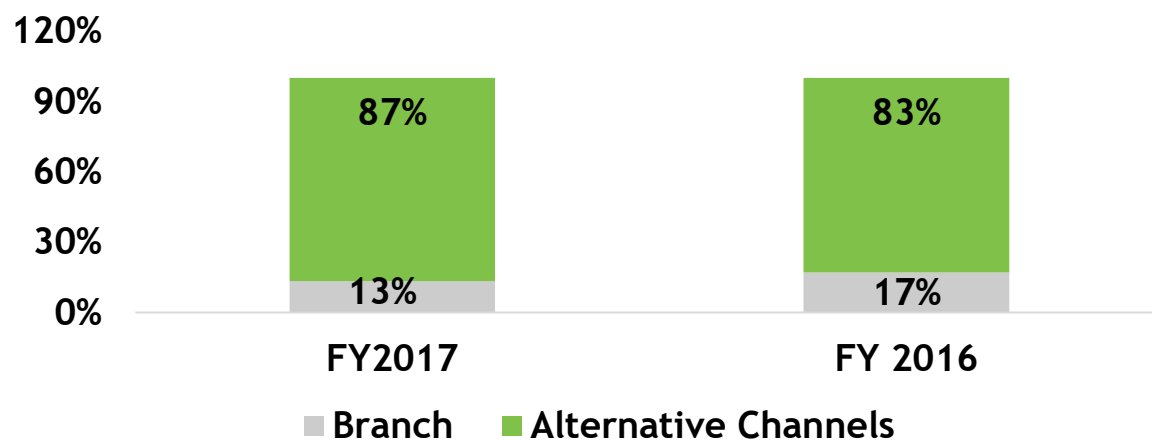
Channel Transaction growth FY 2016-
FY2017



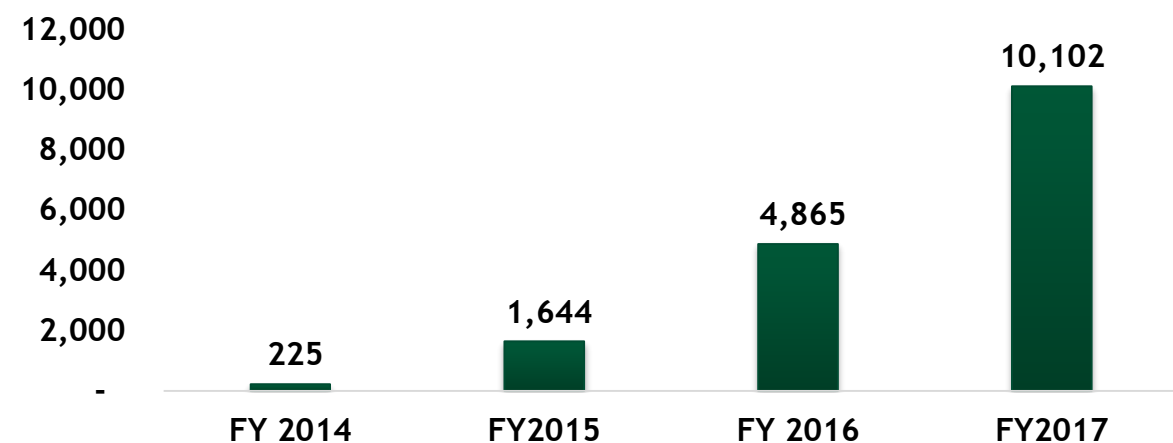
Cumulative MCo-op Cash loan Customer Numbers (In '000')



Alternative Channel Vs Branch



Cumulative MCo-op Cash loan Book - In Millions



✓ To be the dominant bank in Kenya in MSME Segment

KEY INITIATIVES;

- ✓ Credit Scoring
- ✓ SCF- Supply Chain Financing
- ✓ CVP- Customer Value Proposition Model
- ✓ Segmentation
- ✓ Credit Process Review
- ✓ Product Offering Review
- ✓ Non Financial Service (NFS) offering

6 KEY STREAMS;



IMPLEMENTATION ROADMAP

- ✓ MSME Transformation pilot phase done on 7 branches now working on roll out to other branches.

KEY ACHIEVEMENTS

- ✓ Clearly defined segments in Micro, Small and Medium enterprises enabling our bankers to serve them optimally
- ✓ Handover initiatives allowing movement of relationships per segment
- ✓ Same day Micro loans through Business Process Management System (BPMS)
- ✓ Supply chain financing, a key product, has experienced great traction (under pilot) with over 90 suppliers on board
- ✓ Positive response from our customers. Increased referrals

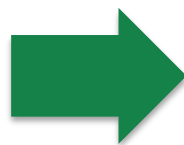
OUTLOOK

- ✓ Roll out MSME to all branches
- ✓ Roll out MSME to more Co-op agents
- ✓ Bundle MSME packages with other products and services
- ✓ Roll out credit scoring and Limit reviews on Business Process management System
- ✓ Build a Supply Chain Financing Platform
- ✓ Implement identified Non-Financial Services

SFE is built around customer centricity; One Relationship manager, One client, with a comprehensive account plan, multiple products with multiple visits

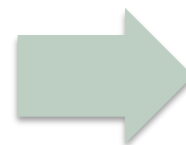
SFE 1.0, 2.0

- Completed



Revamped New Edge SFE 3.0

- Under Implementation



SFE 4.0

- Sales Campaigns

New Edge SFE 3.0

Milestones:

- ✓ Deposit focus
- ✓ Focus on Transactional Banking to grow NFI
- ✓ Automated deal pipeline tracking and follow-up
- ✓ Utilization of all channels by clients
- ✓ Data analytics driven sales
- ✓ New client acquisition

Key achievements in 2017

- ✓ Corporate Loan Book of over 100 Billion
- ✓ Corporate Deposit Book of over 112 Billion
- ✓ Non funded income growth
 - ✓ Corporate Internet +63%
 - ✓ Forex + 40%
 - ✓ Trade Finance + 15%
- ✓ Enhanced calculation of relationship managers net revenue through data analytics

Outlook

- ✓ B2B integration / Aggregators for corporate clients
- ✓ Proactive - Analytics driven Sales campaigns
- ✓ Review of Sectors and the opportunities therein
- ✓ Transaction Banking as a key Deposits and NFI driver
- ✓ Greater focus on Supply chain partnership

SFE is built around customer centricity; One Relationship manager, One client, with a comprehensive account plan, multiple products with multiple visits

SFE 1.0, 2.0

- Completed



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SFE 4.0

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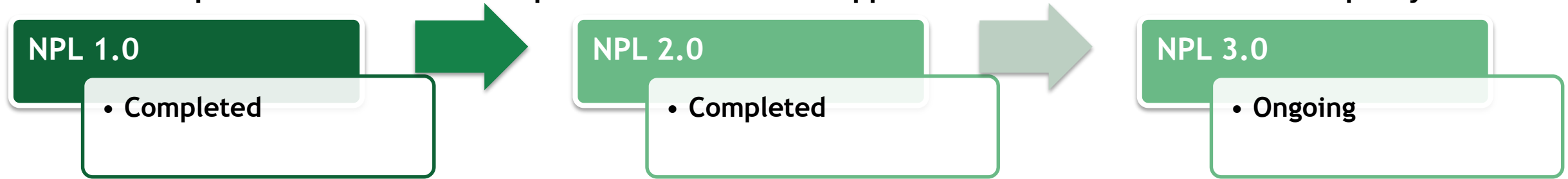
Key achievements in 2017

- ✓ Loan Book 10% growth
- ✓ Deposit Book 19% growth
- ✓ Non funded income growth
 - ✓ Corporate Internet +99%
 - ✓ Sacco Agency Banking + 31%
 - ✓ Trade Finance + 1508%
- ✓ Enhanced calculation of relationship managers net revenue through data analytics

Outlook

- ✓ B2B integration / Aggregators for Saccos.
- ✓ New MSME model on small saccos.
- ✓ Innovative solutions in the transport sector.
- ✓ Review of Sectors and the opportunities; Agri value chains
- ✓ Proactive - Analytics driven Sales campaigns

- ✓ To ensure proactive credit management (Pre-delinquent, 1-89 days and 90+ days Book)
- ✓ To ensure proactive review of credit processes in order to support business as well as maintain a quality book

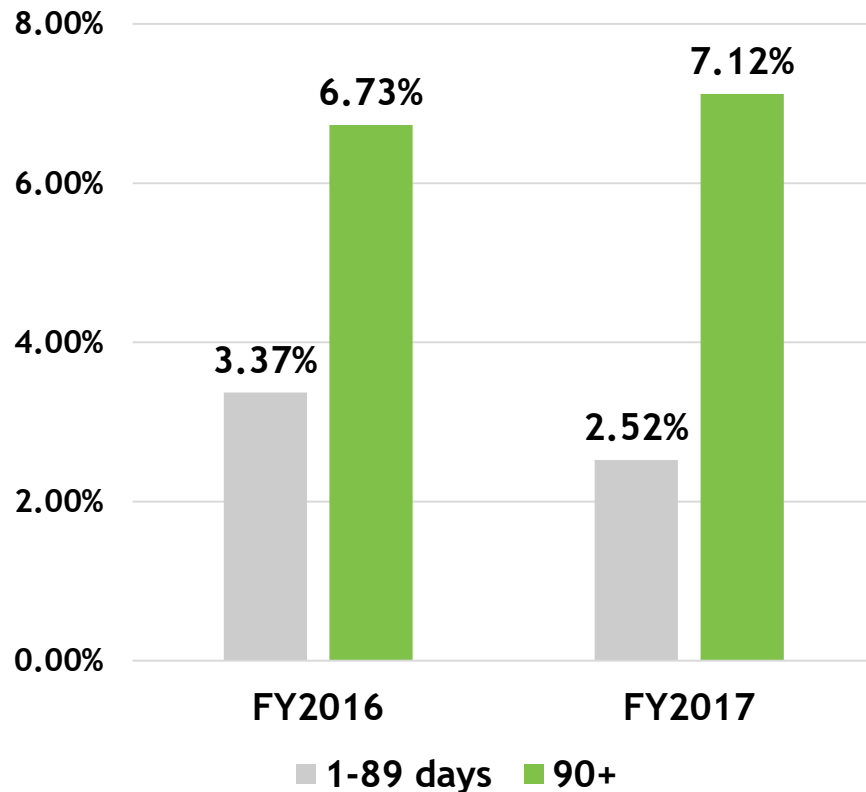


Key Achievements

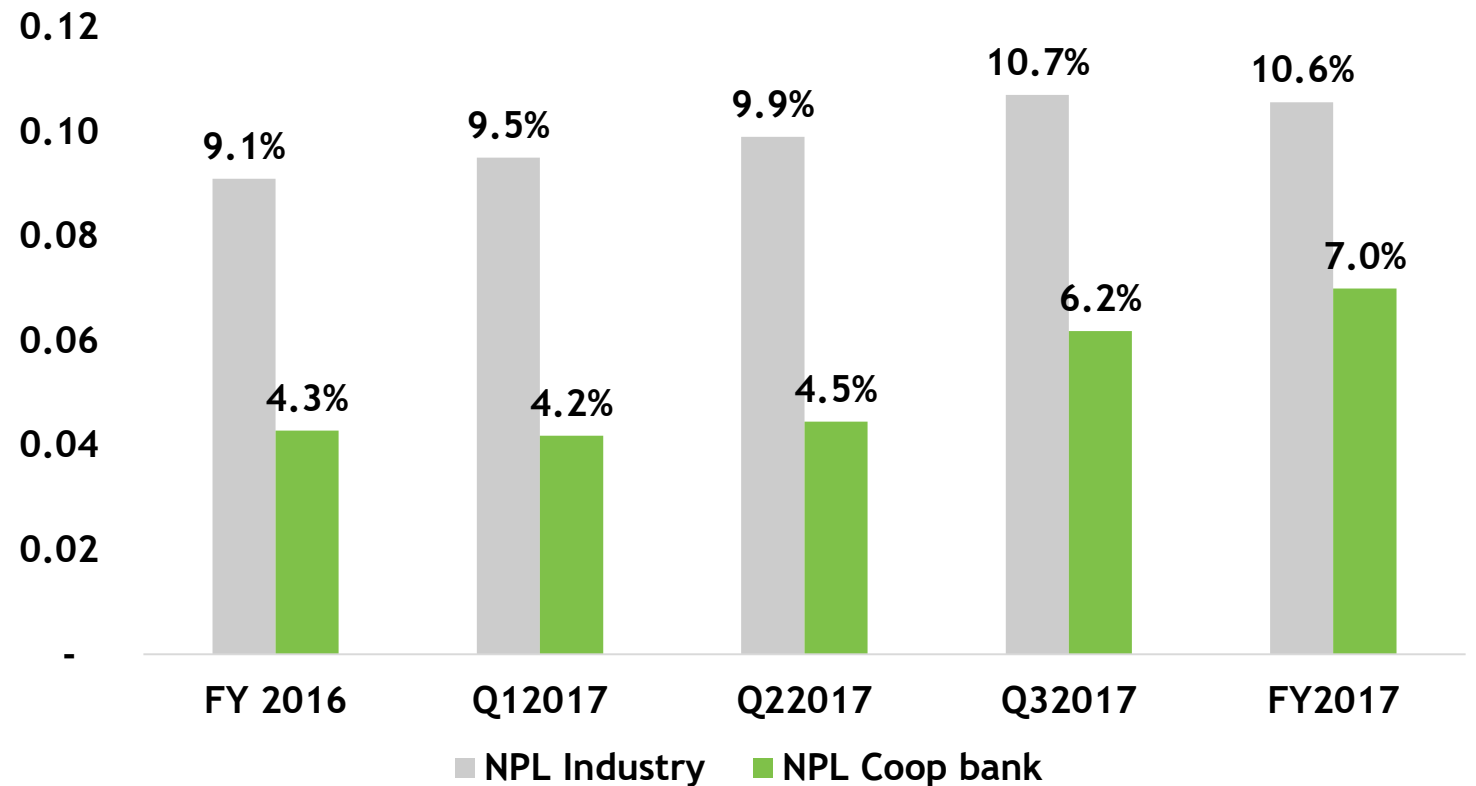
- ✓ On track in the implementation of IFRS9 requirements
- ✓ Automated Covenant Tracker: The system allows departments to track covenants linked to various credit facility approvals
- ✓ Generation of early warning report for pre-delinquency management
- ✓ Automation of e-collection via Avaya system increasing average calls per collector from 68 in Q3 to 84 in November
- ✓ Scoring of all MSME customers and limit allocation
- ✓ Micro Enterprises Loans Process Automation -The BPMS system has been rolled out to 105 branches across the network. The benefits includes same day end to end loan processing.
- ✓ Approval and issuance of unsecured bid bond from 2 mil to 5 mil at Branch level
- ✓ The turn around time for cash covered instruments has been reviewed from 3 days to 1 day
- ✓ Review of trade instruments issuance process flow. Achieved TAT of 1-2 days for cash covered and existing limits.

1. Customer journey digitization
2. Proactive Credit Management
3. Enhancements on credit issuance through digital channels
4. Best practice inculcation into credit processes

NPL Management



NPL % Industry Vs Coop Bank



To provide fast track technology enablers that will facilitate short term, medium term and strategic alignment to the Bank's transformation project

Key Achievements

- ✓ The optimal digital strategy (Co-op Way)
- ✓ Prioritization to digitized customer journeys
- ✓ Business Process Management (BPMS) with several delivered modules
- ✓ Data and analytic initiatives - 13 of 26 prioritized use cases have been developed and in use.
- ✓ Successful MSME Credit Scoring
- ✓ Successful Instant card issuance
- ✓ 40 channel enhancements delivered in 2017
- ✓ Collaboration with Fintechs for revenue collection
- ✓ Activation of M Coop Cash dormant customers.
- ✓ B2B Institutional Onboarding-Integrated collections solution. The total integrated institutions are 37.

Outlook

- ✓ Digital Bank Transformation- under implementation
- ✓ Innovation management
- ✓ Continued Optimum Systems Availability & Uptime
- ✓ Optimizing Customer Experience on E-Channels
- ✓ Business to Business (B2B) Integration
- ✓ Continued Brand Equity Management
- ✓ Omni Channel Implementation for prioritized Segments
- ✓ Transactional Banking Support for optimal non funded income growth
- ✓ Continued Compliance & Fraud Management
- ✓ Data Analytics -Firm wide roll-out and training on data analytics:
- ✓ Reduction of Procurement Costs
- ✓ Cyber Security - Cybersecurity program

Foundational Systems Outlook

- ✓ Implementation of Trade Finance, Trade Portal and Supply chain Finance Implementation
- ✓ Implementation of OPICS upgrade
- ✓ CRM implementation to enhance customer experience
- ✓ API(Application Programme Interface) Management
- ✓ Enterprise Service Bus (SOA) Optimization
- ✓ Core banking Enablement

Achieving the Best with our People.

KEY DRIVERS

- ✓ High Performance Management culture
- ✓ Optimal resourcing & mobility
- ✓ High-impact leadership culture
- ✓ Achieve coaching & learning excellence
- ✓ Talent Management strategies
- ✓ Proactive Retention of our best people
- ✓ Strong Employer Branding & EVP
- ✓ Inspired Employee Experience journeys
- ✓ Differentiated rewards management
- ✓ Proactive cost rationalization
- ✓ Digital HR & data driven HR decisions
- ✓ Co-op Culture Re-alignment , Employee Engagement & Rewards

KEY ACHIEVEMENTS

Key achievements;

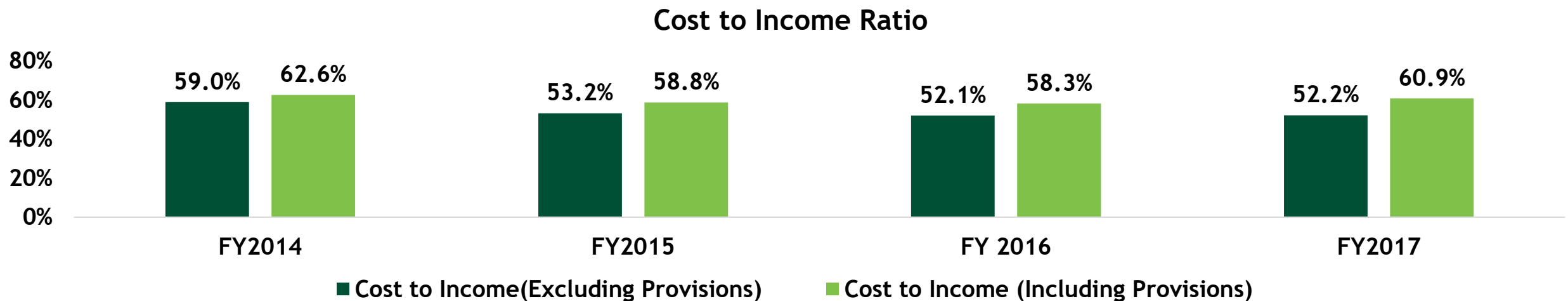
- ✓ 92% staff members achieved and exceeded their targets
- ✓ Sales and Service advisor role- 665 staff
- ✓ Skills for future initiatives rolled out
- ✓ Smart re-deployment of optimized resources
- ✓ Talent Development(TD) implemented
- ✓ Mentorship programs for Bankers, Branch Managers and SMs ongoing
- ✓ Premium training and exposure for retention of key critical skills
- ✓ Coaching & Feedback Framework developed
- ✓ Launch of Divisional Academies in Q2
- ✓ Coop Leadership Way - developed and launched
- ✓ Staff Wellness program - scaled up in 2017 with over 250 wellness champions

2018 and Beyond: 'Deeper & Meaningful partnerships to unlock productivity and potential'

- ✓ Optimal Resourcing & Org. design initiatives
- ✓ High Performing Teams initiatives
- ✓ Build High Impact learning & Strategic capabilities
- ✓ Talent Agenda & Proactive retention initiatives
- ✓ Employee Engagement & Wellbeing Initiatives
- ✓ Digital Bank Transformation & Culture alignment
- ✓ Transformation Agenda partnering initiatives

	<u>2017</u>	<u>2016</u>	<u>2014</u>
Staff numbers	4069	4127	4450
Staff productivity (staff cost to gross income)	19%	17%	21%
PBT per staff	4,094	4,295	2,453
PAT per staff	2,853	3,072	1,801

Cost Management and Efficiency



Key strategies;

- ✓ Enterprise Resource Planning (ERP) solution for better visibility and decision making.
- ✓ Focus on electronic delivery channels thus reducing brick and mortar costs. We are only opening strategic branches.
- ✓ Continuous review of our cost lines for adoption of better and cheaper methods.
- ✓ Automation of the various key processes for costs optimization. BPMS digitization of customer Journeys for cost efficiency.
- ✓ Enhanced Evaluation Committee (EC) and Expenditure Management Committee (EMC)
- ✓ Reviewed sourcing processes and procedures, including frequent retenders with significant savings.
- ✓ Market price comparison every 3 to 6 months.
- ✓ Prequalification of suppliers every 6 months.
- ✓ Renegotiated contracts with vendors especially systems.

Benefits of the SAP ERP Solution

- ✓ Efficiency- reduced paper work, Improved Service level Agreements (SLAs).
- ✓ Better management and control of Bank Resources.
- ✓ Enhanced accountability- quality of services delivered to branches.
- ✓ Linking of budget and expenditure for each cost center to enhance effective cost management.
- ✓ Enhanced visibility of Bank commitment and expenditure.

Entrenched Transformation Function

Seamless co-ordination and implementation of all Transformation Initiatives

As part of our 2015-2019 Growth and Efficiency Strategy Soaring Eagle transformation program was launched in August

Transformation Phases

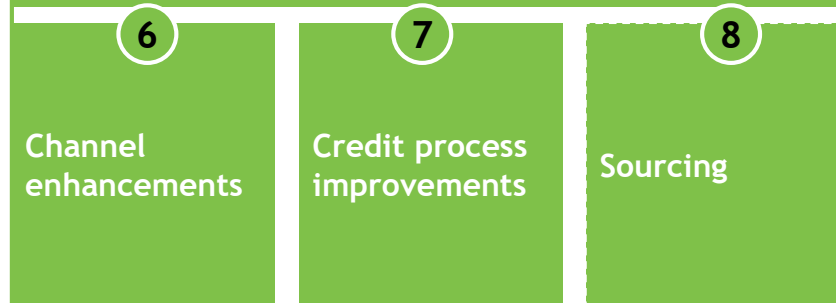
1. *Foundational Steps - 2015*
2. *Modernization Steps - 2016-2017*
3. *Future growth - 2018*

Transformational programs



- 12+ month cross-functional, large scale projects that fundamentally shift business as usual

Functional improvements



- 6-12 month business as usual improvements.

Enablers - *Provide enabling structure, processes and systems for transformational programmes*

9 Data and Analytics

10 Performance rhythms Continuous Tracking & Co-ordination

LONG TERM FUNDING (Kshs. Million)

DEVELOPMENT PARTNER	FY2017	FY2016	PURPOSE
IFAD	30	30	To finance the Eastern Province Horticultural and Traditional Food crops project
EUROPEAN INVESTMENT BANK	1,087	2,171	To fund SMEs
AFD	3,591	4,022	To fund energy efficient and renewable energy projects
INTERNATIONAL FINANCE CORPORATION(IFC)	13,092	9,037	To fund SME's and agribusiness, construction and mortgage segments
D.E.G -(K.F.W)	3,316	4,368	To finance SME and Corporate customers
TOTAL	21,115	19,629	

NB: The bank has secured a US\$150 Million 7-year senior loan from the International Finance Corporation (IFC). The funds are aimed to help strengthen the bank's long-term funding position and enable it to expand its lending operations especially to micro small and medium enterprises.



CATALYST
AWARDS 2017



RECOGNISING CATALYTIC FINANCE THAT IMPACTS
INDUSTRY, ECONOMY & SOCIETY

KENYA BANKERS ASSOCIATION: CATALYST AWARDS 2017

Overall Winner

- 1ST- Client Case Study - Financing Commercial Clients
- 1ST- Bank Case Study - Bank Operations & Policy
- 2ND -Best Practice in Sustainable Finance
- 3RD - Sustainability Through Policy & Governance
- 3RD- Client Case Study - Financing Micro, Small & Medium-Sized Companies

emeafinance

**AFRICAN
BANKING
AWARDS
2017**

Best Bank in Kenya



Recognition for being **Socially
Devoted**
By Social bakers
(a social media marketing platform)

Championing Social Economic Empowerment



**CONSULTANCY &
INSURANCE AGENCY LTD**

- ✓ Capacity building for Cooperative Societies.
- ✓ Over 2,300 consultancy and advisory mandates carried out from inception
- ✓ 560 FOSA's to serve Sacco customers.
- ✓ FOSAs have further entrenched our financial deepening model
- ✓ 19 dedicated consultants



- ✓ Our social investment program vehicle
- ✓ Providing Education Scholarships for bright but needy students
- ✓ The foundation is fully funded by the bank
- ✓ Since inception of program in 2007 to date 6303 students have been sponsored
- ✓ The bank awards scholarships per county and the rest are determined by the bank's regional Sacco delegates.



- ✓ Financing the SME and MCU sector
- ✓ Sustainable financing towards Vision 2030 and MDGs
- ✓ Staff CSR Involvement
- ✓ Corporate Social Responsibility: First Lady's Beyond Zero Campaign, Kenyatta National Hospital- Children Cancer Ward, Kenya Defense Forces games sponsorship, Kenya Diabetes Management and Information Centre, Kenya Psychological Association, National Police Service Athletics Bible Translation and Literacy Marathon, Wildlife Direct - Hands off our elephants





SOUTH SUDAN

- ✓ Currently operating 4 branches in Juba and 5 Non-oil collection centers. Owns 31% of CIC Africa Ltd- South Sudan
- ✓ The subsidiary made a PBT of SSP 192 Million which was 135% higher than the SSP82M in 2016. This performance however translated to a loss of Kshs.603 Million in FY2017 owing to the hyperinflationary environment in the Country.
- ✓ The subsidiary has recorded growth in Comprehensive Income and Financial Position as follows;
 - ✓ Net interest income +422%
 - ✓ Non funded income +149%
 - ✓ Liability book +177%
 - ✓ Asset book +287%
 - ✓ Customer base of over 28,788
 - ✓ We have 391 NGO accounts on board
 - ✓ 262 Internet banking customers, 554 mobile banking customers and 14 agents
- ✓ We have put in place proactive strategies to continue offering financial inclusion while considering the most optimal risk uptake

New Business: Leasing



- ✓ Approval by regulator, Central Bank of Kenya, to enter into a leasing business joint venture with Super Group of South Africa.
- ✓ The joint venture will take advantage of key strengths by the two partners and focus on the emerging opportunities in leasing business with the bank providing a 7 million customer base and Super Group providing proven products, technology and the expertise on running a scalable leasing business.
- ✓ The joint venture comes at a time when there are significant market opportunities in the growing Kenyan economy and the region as hereunder;
 - Major infrastructure projects.
 - Government setting the pace with leasing (especially vehicles).
 - Exploration and mining activities including oil and gas.
 - Other sector demands including manufacturing, construction, transport, ICT among others.
- ✓ The joint venture will also leverage on the support of the Co-operative movement with over 14 Million customers and over 18,000 co-operative societies.
- ✓ The joint venture is being operationalized immediately.



- ✓ Listed on the Johannesburg Securities exchange
- ✓ Market capitalization of Ksh. 100.4B
- ✓ Operations in South Africa, Australia, New Zealand, Germany and United Kingdom.
- ✓ Provides world class fleet solutions to their global client base focusing on the containment of costs and operational risks associated with fleet ownership.

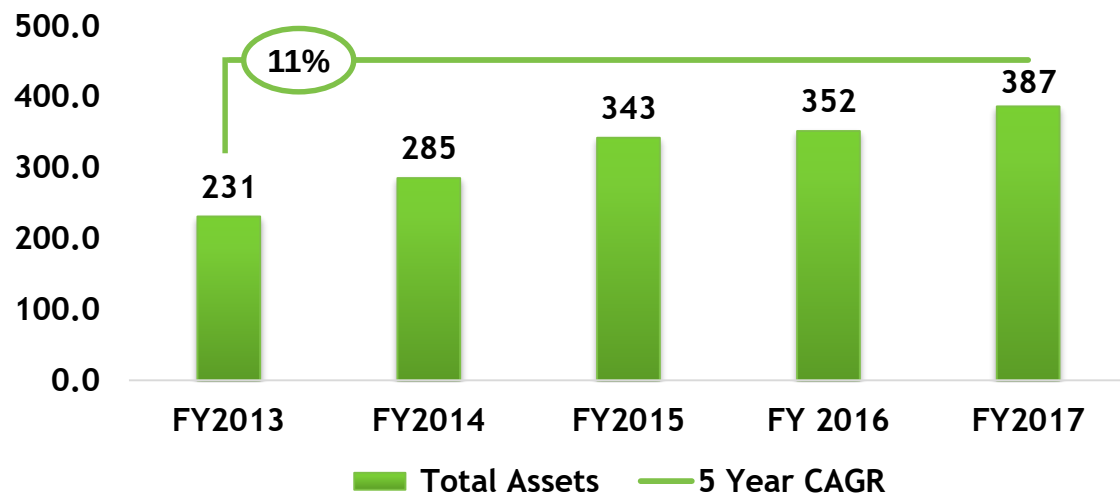
Key Financial Highlights



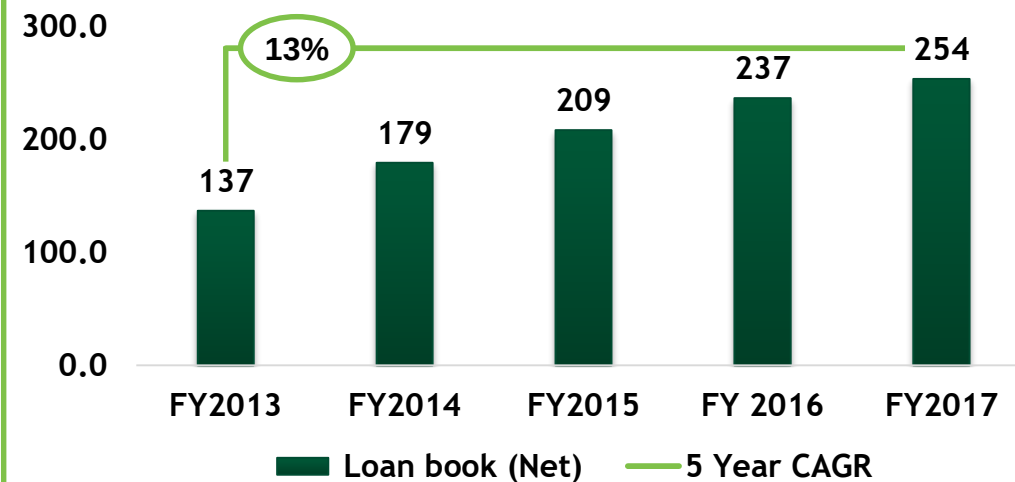
Kshs. Billions	FY2017	FY 2016	% Change (YoY)	
Total Assets	386.9	351.9	9.9%	↑
Loan book (Net)	253.9	236.9	7.1%	↑
Government Securities	69.2	57.8	19.7%	↑
Total Deposits	287.7	263.6	9.2%	↑
Borrowed Funds	21.2	19.8	6.8%	↑
Shareholders Funds	69.6	61.3	13.5%	↑
No. of account holders (Millions)	7.1	6.2	14.1%	↑

A Soaring Bank (Kshs. Billion)

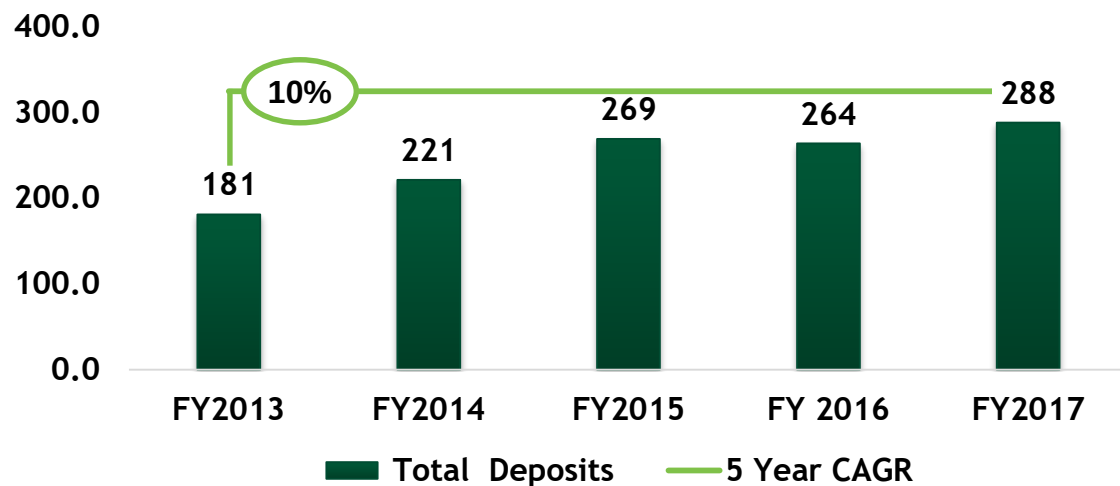
Total Assets



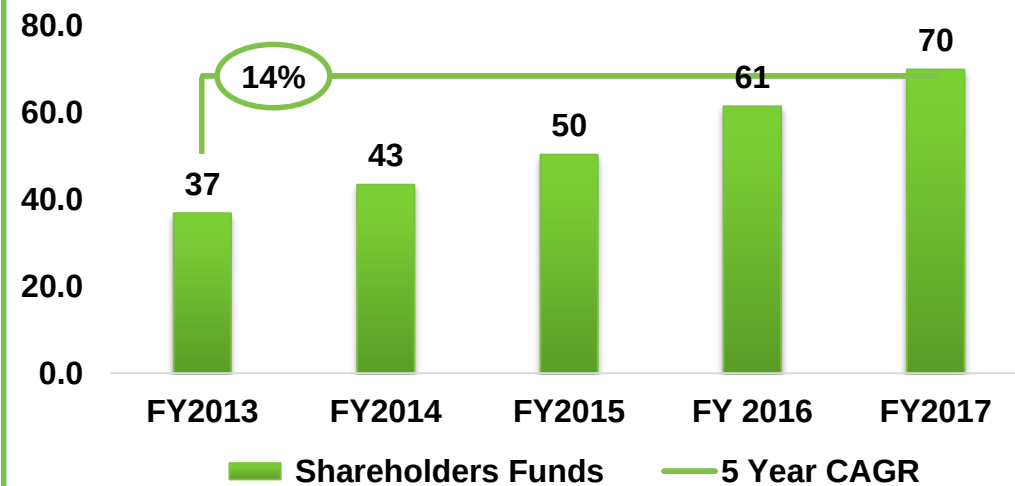
Loan Book (Net)



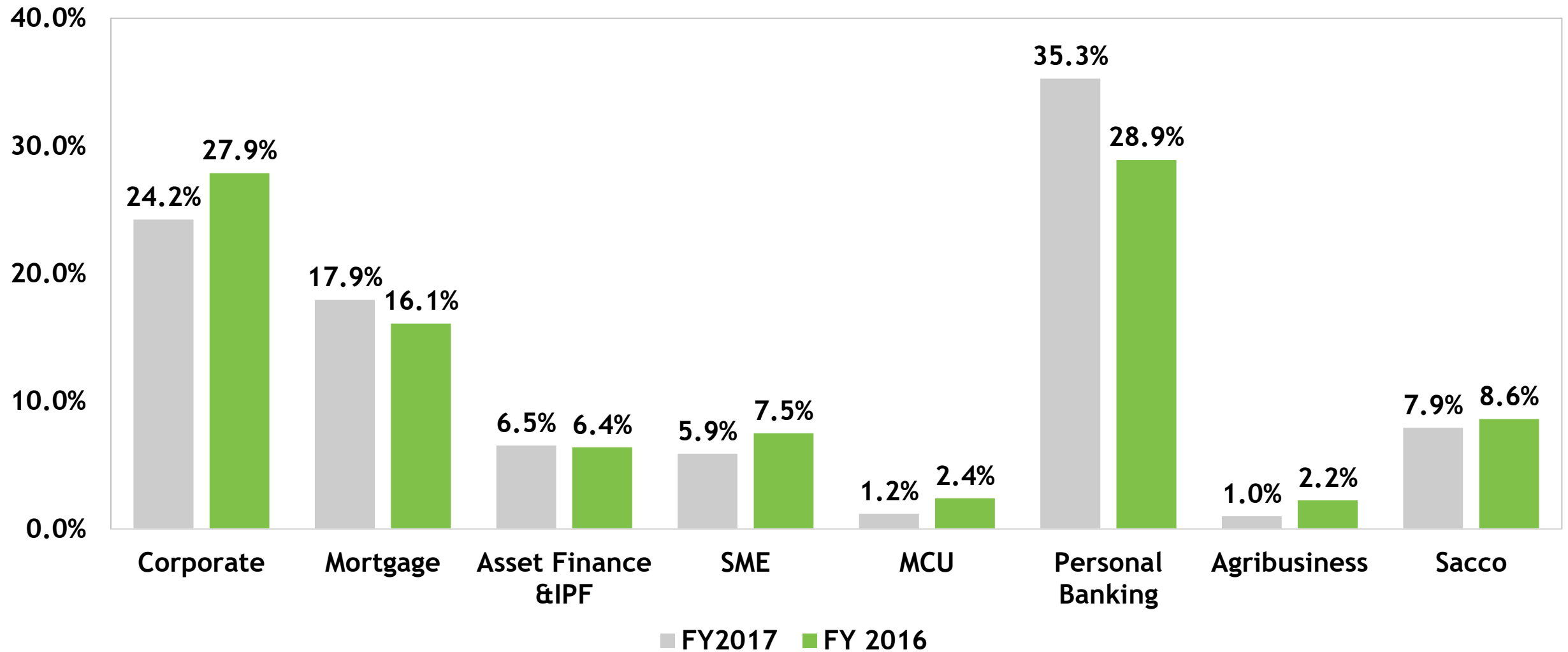
Total deposits



Shareholders Funds

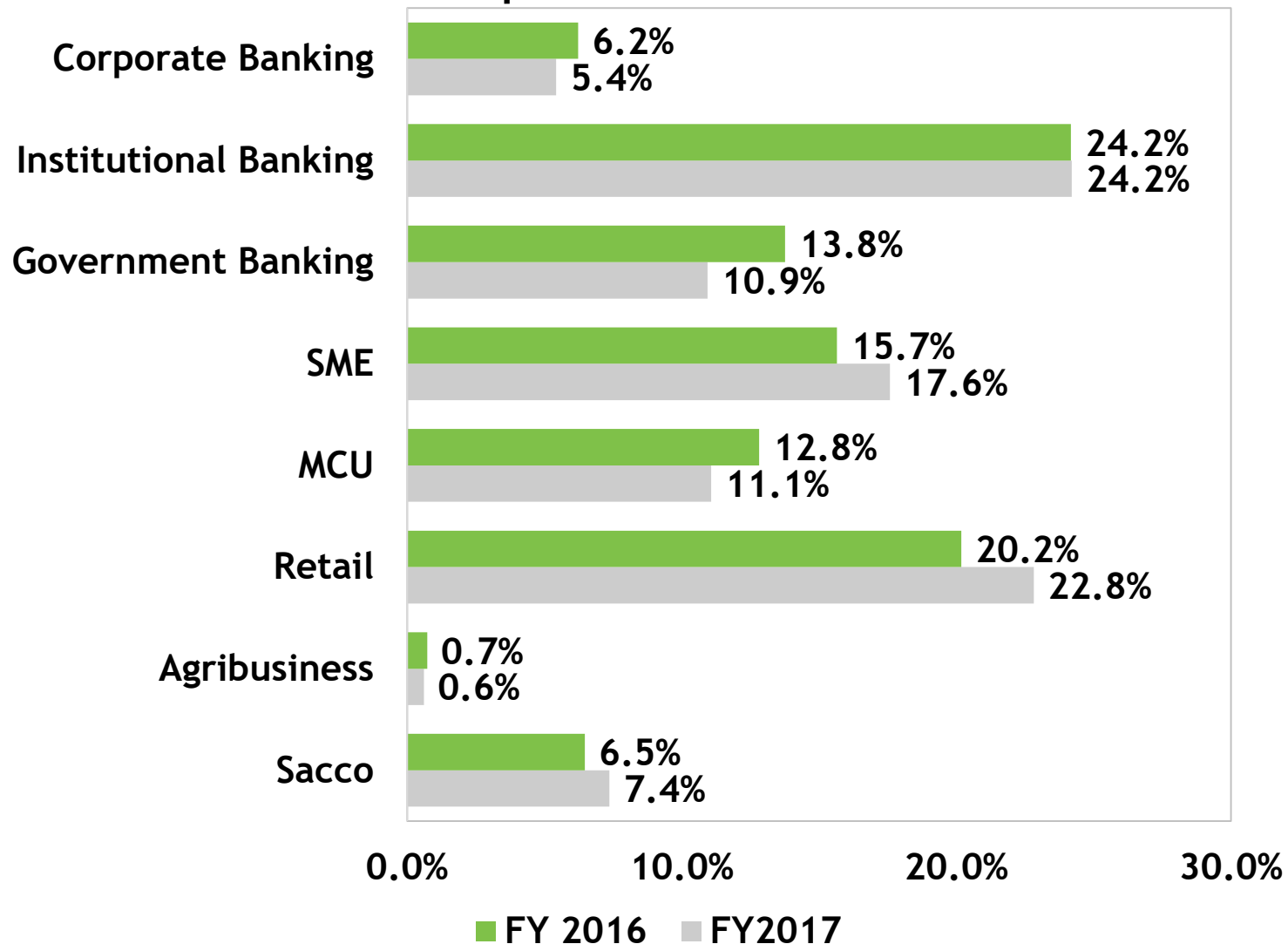


A Soaring Bank - Loan Distribution

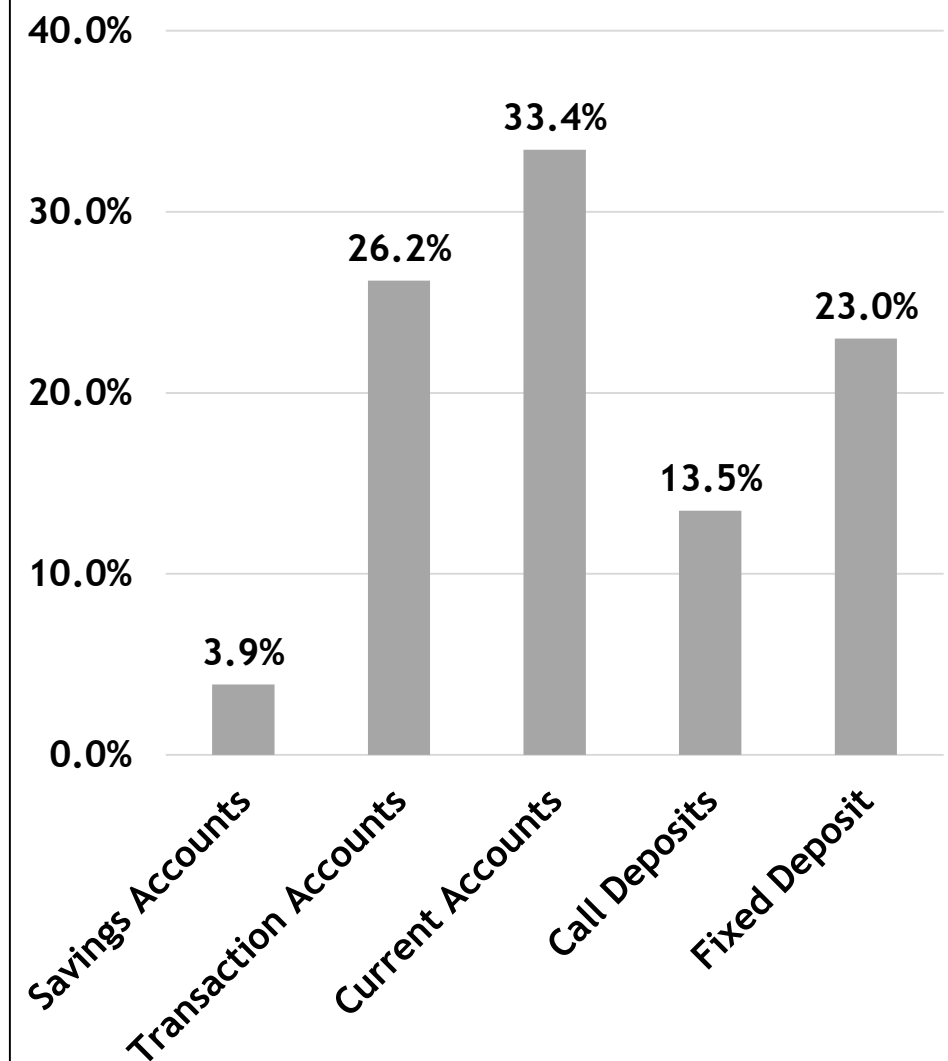


A Well-diversified Liability Portfolio

Deposit Distribution

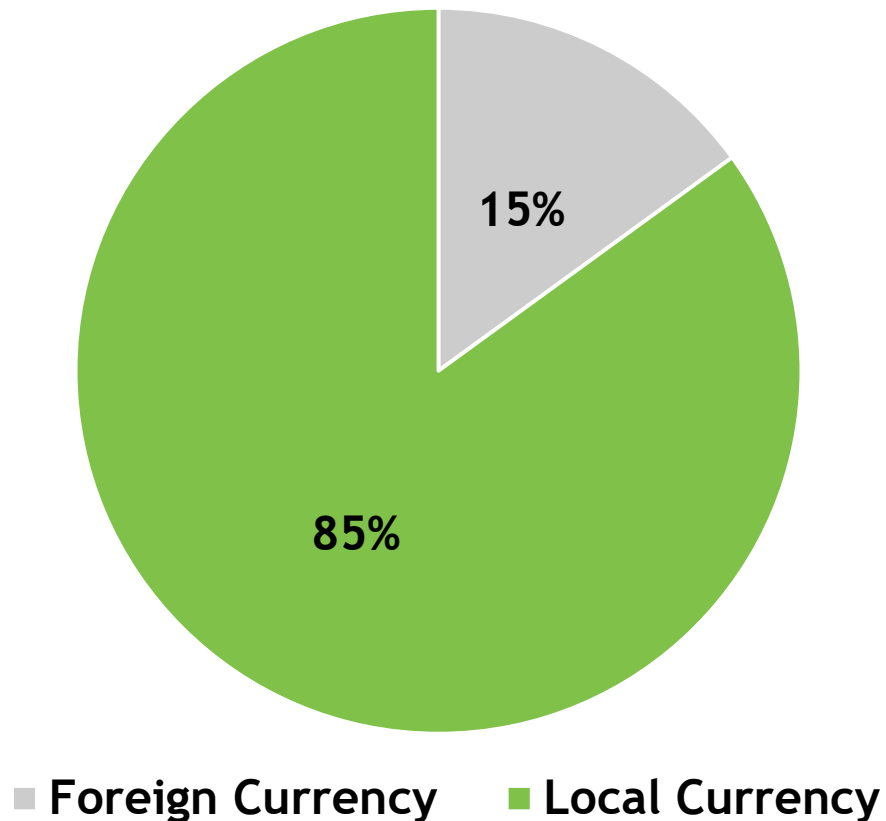


FY2017

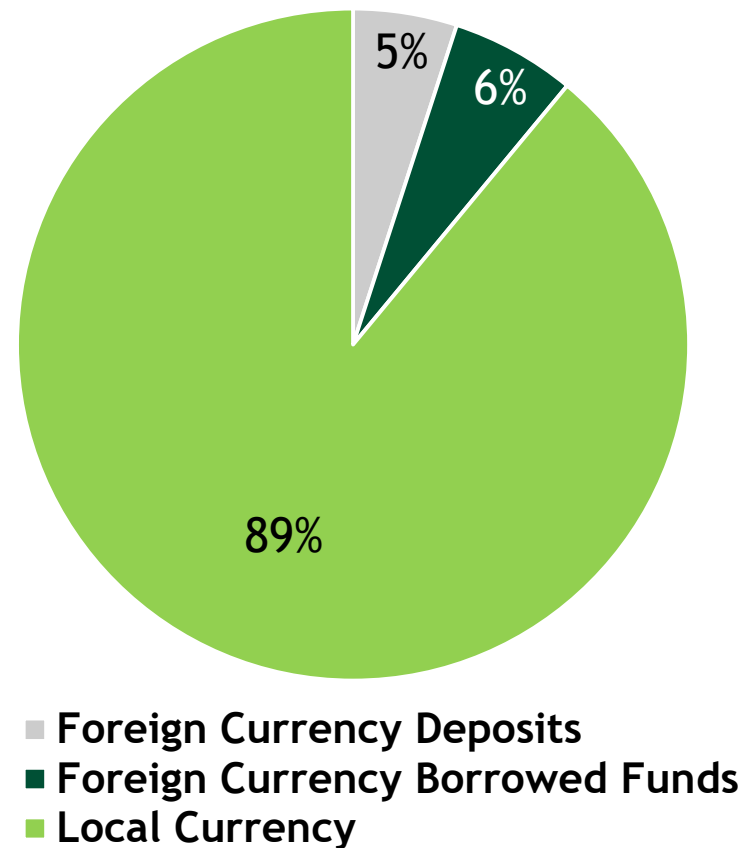


Lending & Funding balances by Currency

FY2017
Loan Book (Local Vs Foreign Currency)



FY2017
Funding (Local Vs Foreign Currency)



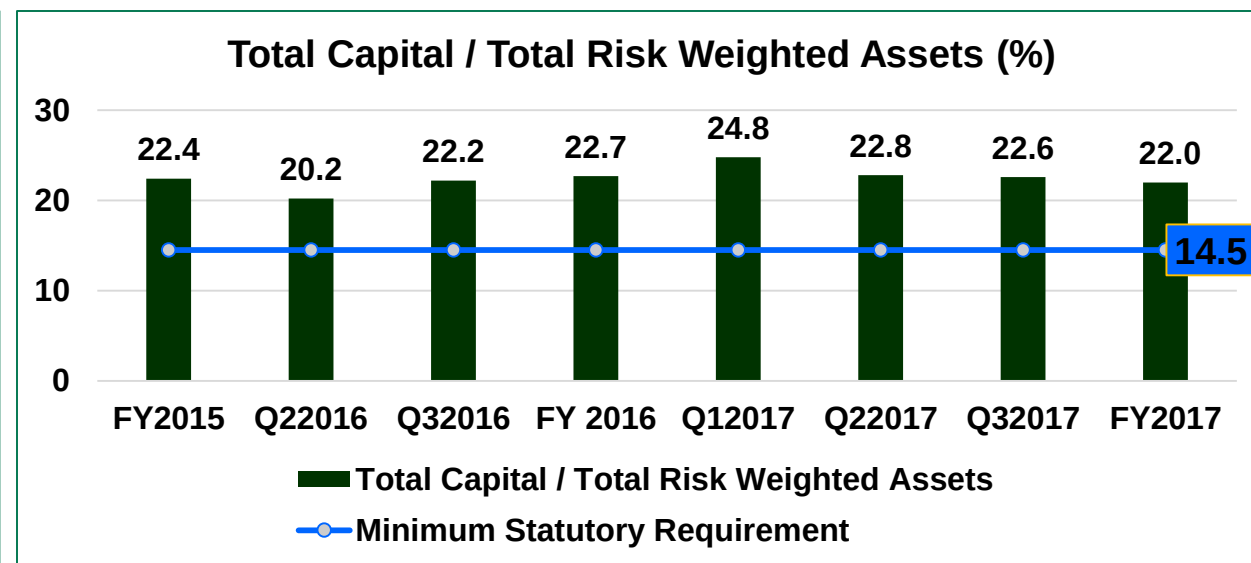
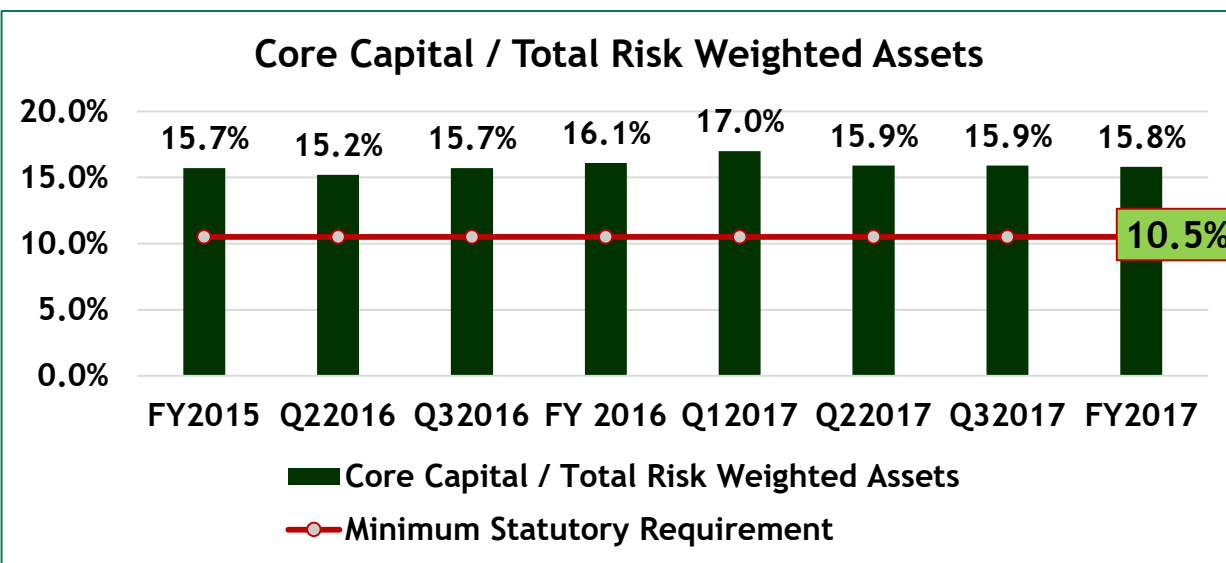
✓ Optimally balanced Kenya Shilling Loan book and Funding

Portfolio Trends (Ksh. Millions)

	FY2017	<u>%</u>	FY 2016	<u>%</u>		
Normal	209,393	80%	196,708	80%		
Watch	34,446	13%	36,475	15%		
Substandard	9,934	4%	5,857	2%		
Doubtful	8,273	3%	4,741	2%		
Loss	506	0%	675	0%		
TOTAL	262,552	100%	244,456	100%		

Capital adequacy

	FY2017	FY 2016
Core Capital / Total Deposits (8%)	20.0%	19.7%
Core Capital / Total Risk weighted Assets (10.5%)	15.8%	16.1%
Total Capital / Total Risk Weighted Asset (14.5%)	22.0%	22.7%
Coverage (Loan loss prov+int in sus / Gross NPL) - IFRS	34.3%	38.1%
Coverage(Loss loan+int in sus+gen prov)/Gross NPL- CBK	52.0%	65.4%
Liquidity (20%)	33.5%	33.2%
NPL / Total Loans	7.0%	4.3%
Loans to Deposits	88.2%	89.9%
Loans to Deposits & Borrowed Fund	82.2%	83.6%

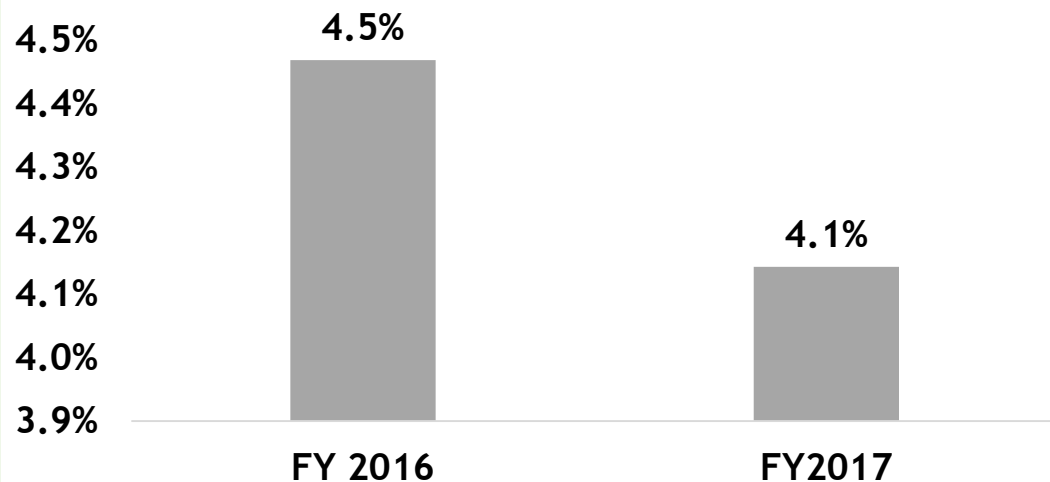


Profitability

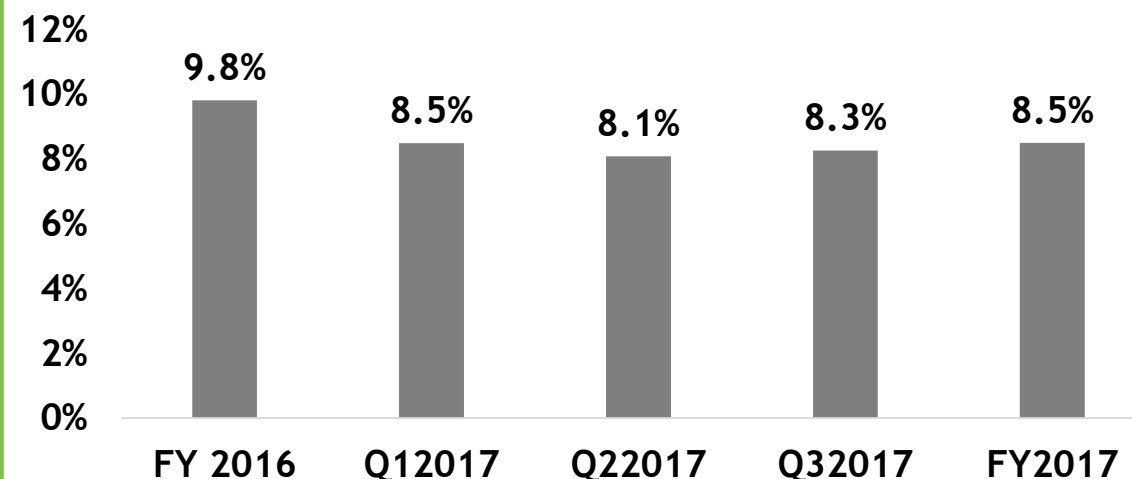
Kshs. Billions (except for EPS)	FY2017	FY 2016	% Change (Y/Y)	
Interest Income	40.4	42.3	-4.5%	↓
Interest Expense	12.3	12.8	-3.9%	↓
Net Interest Income	28.1	29.5	-4.7%	↓
Fees & Commissions	9.8	9.8	0.3%	↑
Forex Income	2.2	1.8	23.6%	↑
Other Income	1.4	1.2	22.2%	↑
Total Operating Income	41.6	42.3	-1.6%	↓
Loan Loss Provision	3.6	2.6	38.5%	↑
Staff Costs	10.1	9.4	7.5%	↑
Other Operating Expenses	11.6	12.6	-8.0%	↓
Profit Before Tax and Exceptional Items	16.3	17.6	-7.7%	↓
Exceptional Items	-	-	-	
Share of profit of associate	0.13	0.10	33.2%	↑
Profit Before Tax	16.4	17.7	-7.3%	↓
Tax	4.99	5.05	-1.1%	↓
Profit After Tax	11.4	12.7	-10.0%	↓
Basic Annualized EPS	1.94	2.16	-10%	↓

Stable Returns on Assets post interest rates cap

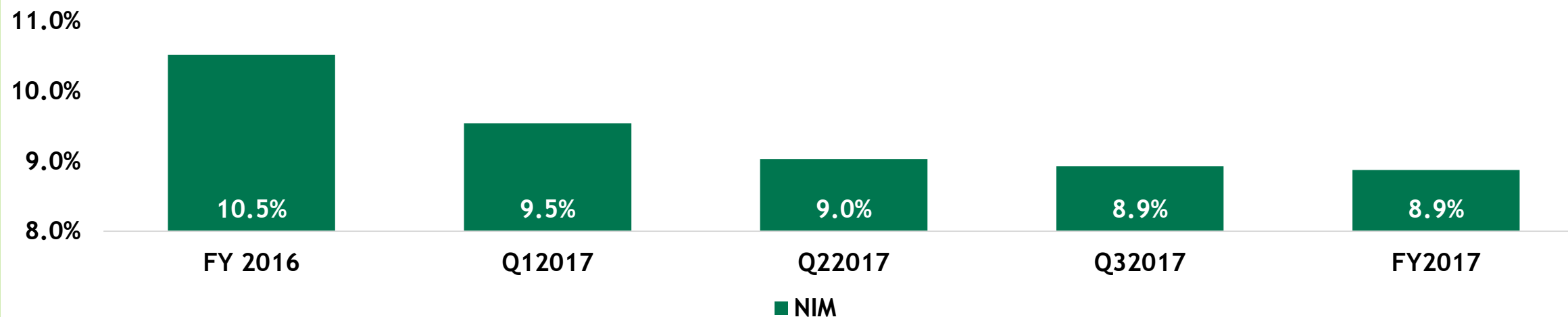
Cost of Funds



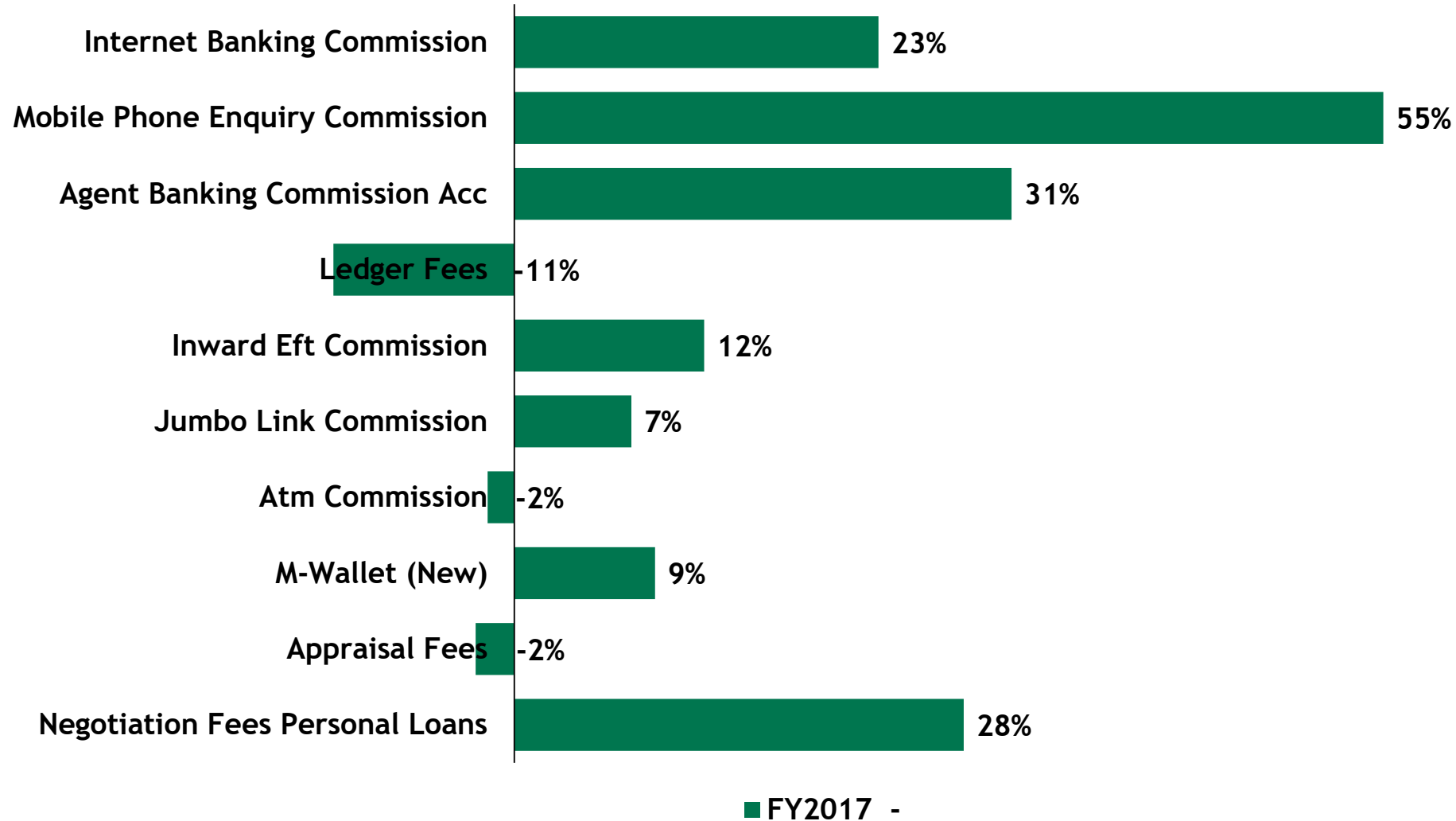
Yield on earning assets



Net Interest Margin (NIM)

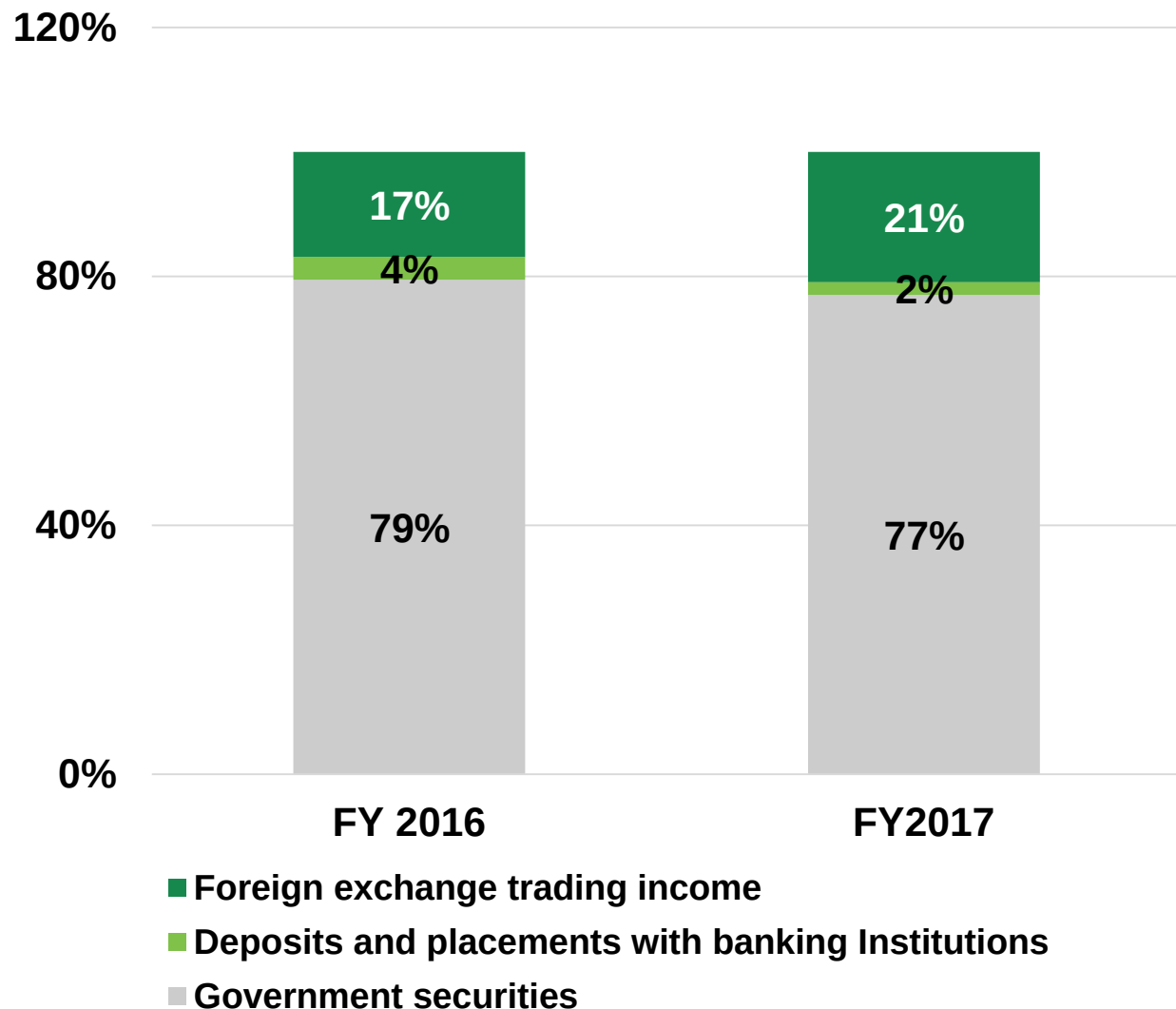


Top Commission Income Lines Growth (YoY)

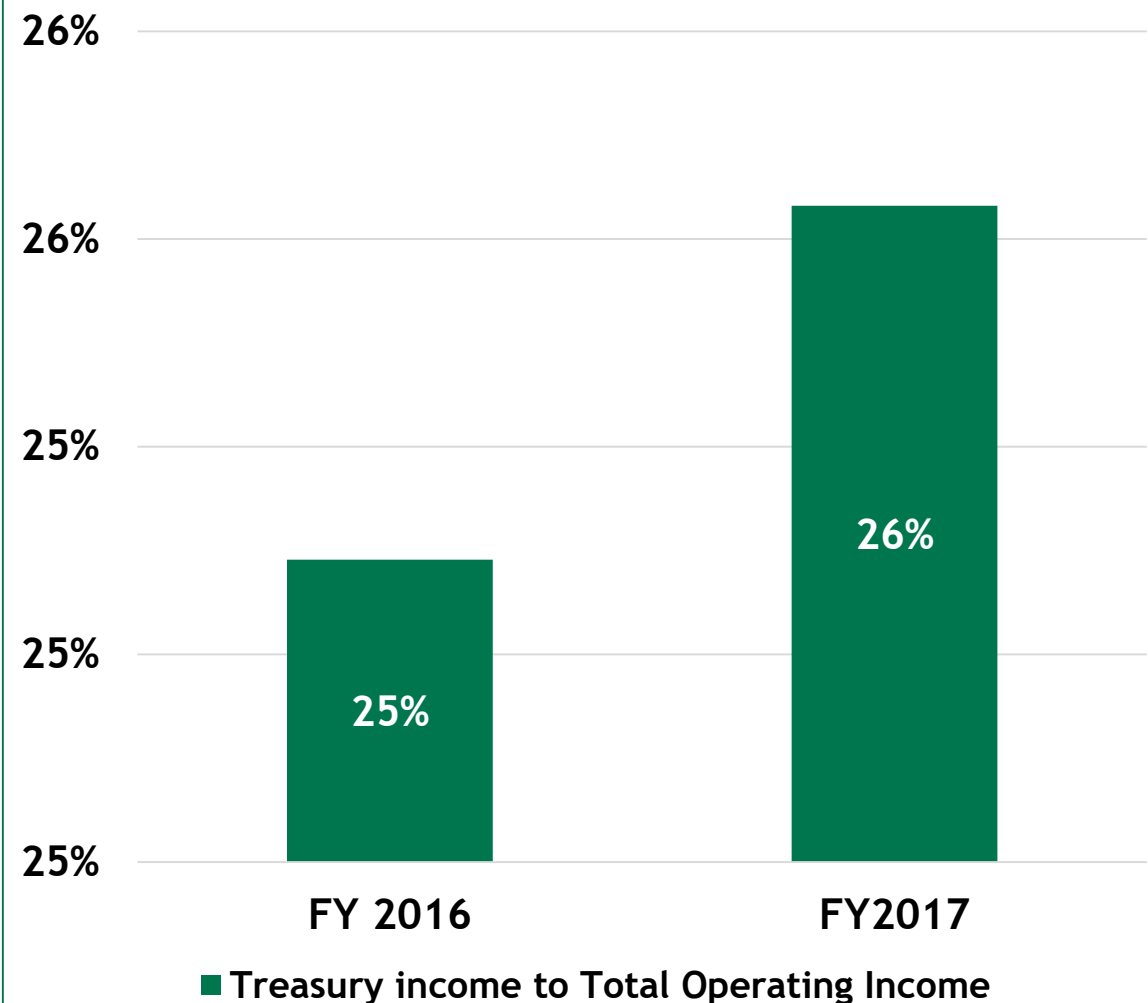


Performance of Treasury Book

Treasury Income Mix



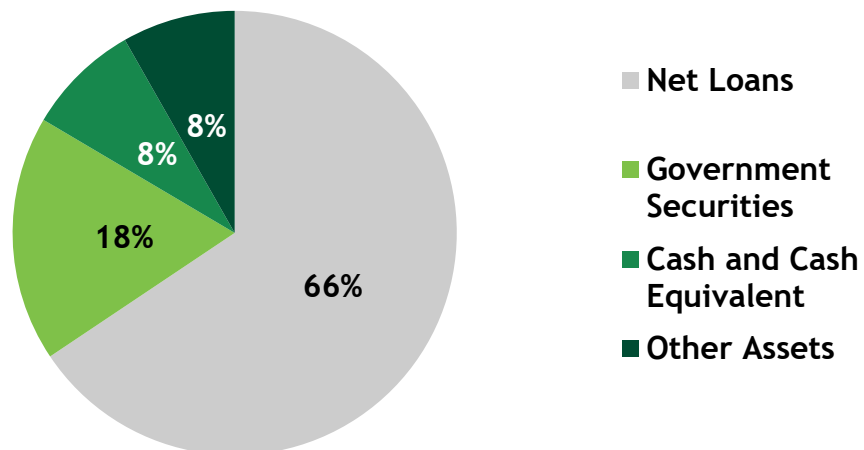
Treasury income to Total Operating Income



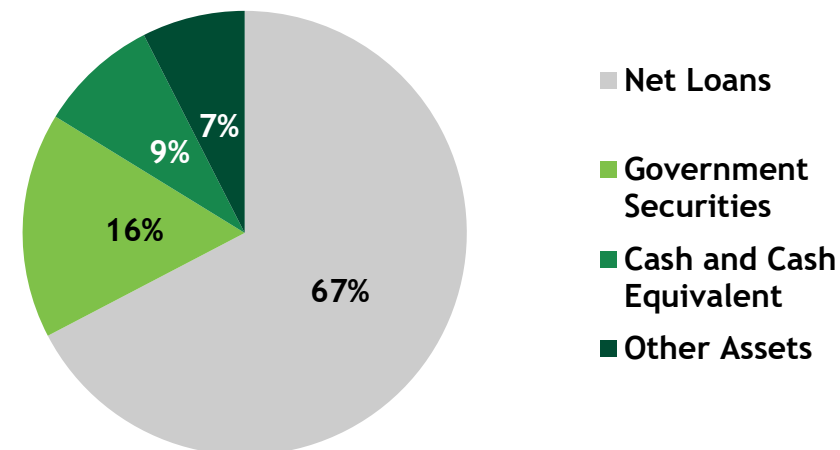
Balance Funding

Asset Categories

FY 2017 - Asset Categories Kshs. Billion

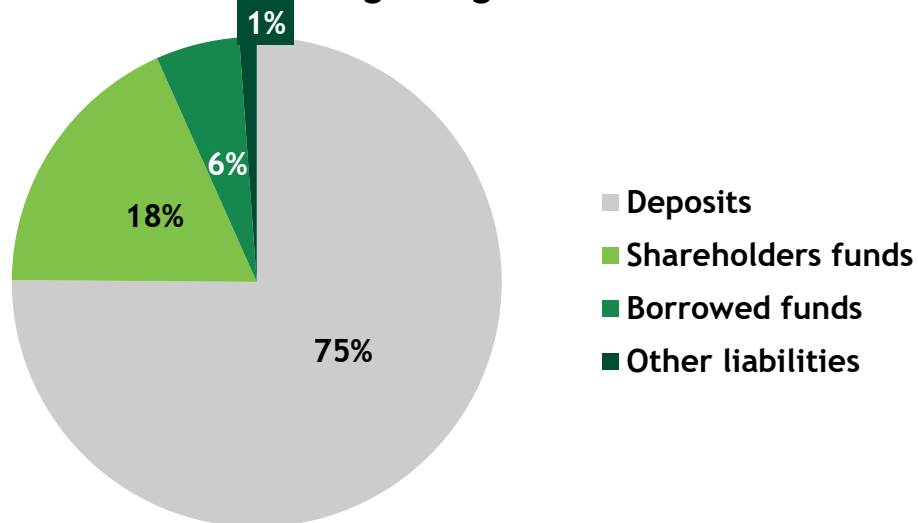


FY 2016 - Asset Categories Kshs. Billion

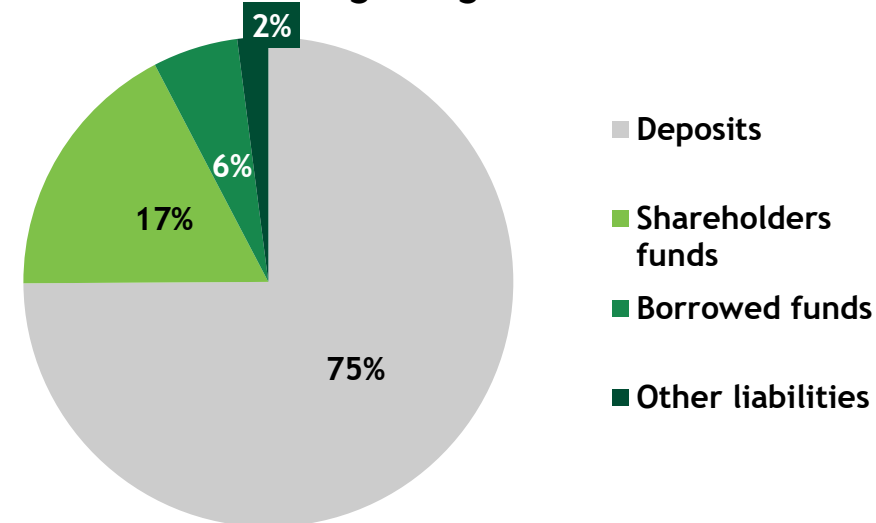


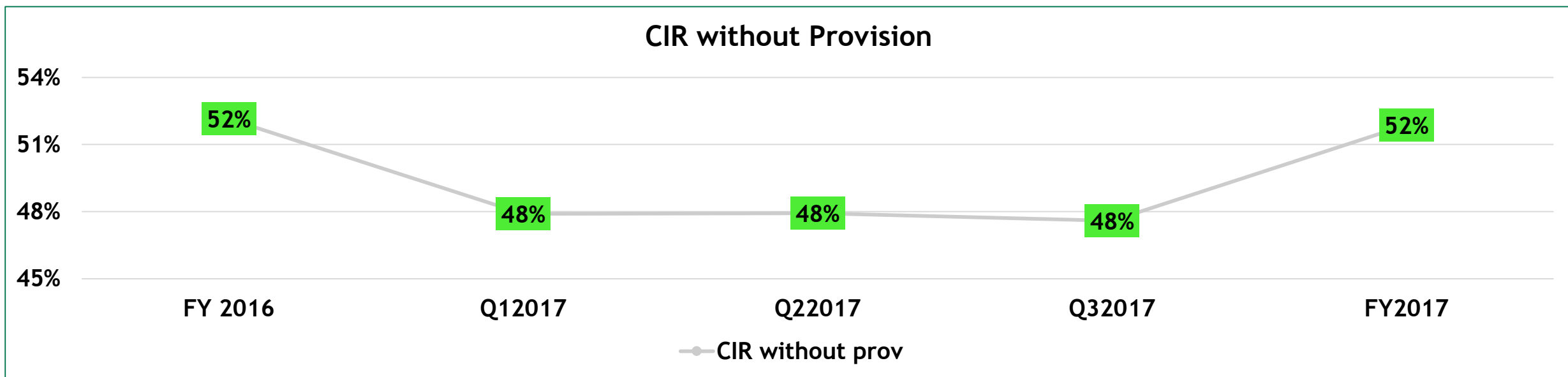
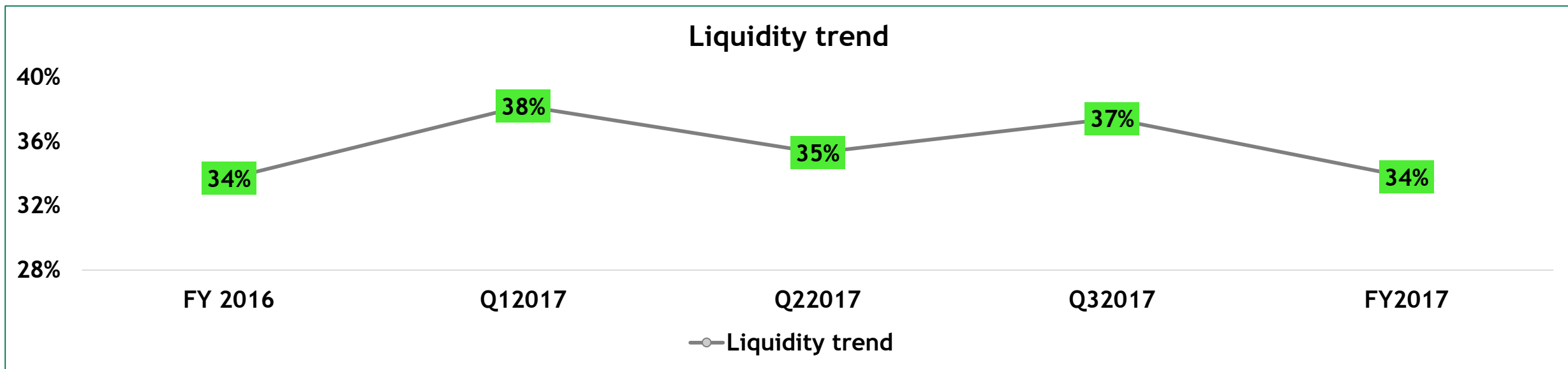
Funding Categories

FY 2017 - Funding Categories Kshs. Billion



FY 2016 - Funding Categories Kshs. Billion





COMPANY	Profit Before Tax FY2017	Profit Before Tax FY2016	%
	KShs'000	KShs'000	KShs'000
The Co-operative Bank of Kenya Limited	16,502,181	18,020,405	-8.4%
Co-op Consultancy & Ins Agency Limited	415,853	197,622	110.4%
Co-op trust Investments Limited	28,533	69,407	-58.9%
Kingdom Securities Limited	968	(20,163)	104.8%
Co-operative Bank of South Sudan	(602,871)	(498,324)	-21.0%
Total PBT before eliminations	16,344,664	17,768,946	-8.0%
Add: Share of profit from associates	129,904	97,546	33.2%
Group profit before tax	16,398,638	17,723,532	-7.3%
Income tax expense	4,993,573	5,047,322	-1.1%
Group profit after tax	11,405,065	12,676,210	-10.0%

Key Profit & Loss Ratios

	FY2017	FY 2016	
Cost to Income(Excluding Provisions)	52.2%	52.1%	
Cost to Income (Including Provisions)	60.7%	58.3%	
Cost of funds	4.1%	4.5%	
Debt to Equity	30.3%	32.3%	
Average Return on Equity	17.5%	22.7%	
Average Return on assets	3.1%	3.7%	
FX to Non Funded income	16.5%	14.1%	
Non - Funded to Total Income	32.4%	30.2%	
Net Interest Margin(loans)	8.9%	10.5%	
Net Interest Margin(Earning Assets)	8.5%	9.8%	
Effective Corporate Tax Rate	30.9%	31.6%	

2018 Financial Outlook

	<u>Actual</u> FY 2017	<u>Projections</u> FY 2018
Profit Before Tax Growth	-7.3%	20%
Loans & Advances Growth	7.1%	14%
Deposits Growth	9.2%	15% - 20%
Cost to Income Ratio	52.2%	48%
Non Funded to Total Income	32.4%	35%
Return On Average Equity (ROAE)	17.4%	20% - 22%
Return On Average Assets (ROAA)	3.1%	3.5% - 3.7%
Non Performing Loans (NPL)	7.0%	7%
Cost of average funds	4.1%	3.8%
Net Interest Margin (NIM)	8.9%	9%
Cost of risk	1.5%	1.6%

Dividend

The Board of Directors has recommended for approval by the AGM the payment of a dividend of Kshs.0.80 per every ordinary share held subject to approval by the Capital Markets Authority.

Conclusion

Bank will continue to show resilience in the Balance sheet and profitability growth.

The political environment has stabilized and is expected to have a positive impact on the economic environment. The Bank is well positioned to take the opportunities that will arise as the Government continues to carry out Vision 2030 projects in infrastructure, ICT, Energy Generation etc.

The Bank supports fully the policy direction shown by the Government to remove interest rates capping; its long overdue.

We will leverage on our strong balance sheet, a cost effective operating structure anchored on the ongoing 'Soaring Eagle' Transformation project and a highly motivated team.

Thank You



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Media

